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China Battery

Profit-pool rebalancing, part 2: Another round of earnings cuts

Asia Autos & EV Battery

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CATL-H fell a further 15% following its 3Q26 earnings miss, bringing its YTD decline to 27% (vs HSI -1%/-9%). CATL-A exhibited a better near-term trend: -5% post 3Q26 and -31% YTD (CSI300: -2%/-11%), thanks to China "national team" efforts to stabilise markets. Following our Oct-20 sector downgrade report, "*China Battery: Profit-pool rebalancing: CATL may take the first hit, but gain the most*" published ahead of CATL's 3Q26 results, we now see further downside to earnings estimates. Our latest discussions with OEMs and ESS integrators suggest that tax pass-through is proving more difficult than we previously assumed. We also see growing differentiation within the sector: CATL's higher unit profitability, net-cash balance sheet and stronger cash generation provide a materially larger buffer, while Tier-2 players face thinner margins, weaker FCF and higher leverage than during the 2023-24 downcycle. **CATL-A remains our only OW; we are Neutral on CATL-H and CALB, and UW on EVE and Gotion.**

- **National-team buying could support further A/H valuation-gap narrowing.** National-team flows appear to have been a meaningful technical driver of CATL-A, with our estimates suggesting that implied CATL buying via China ETFs represented c.5% of the stock's cumulative trading volume from October 9 to November 3. The CATL H/A valuation discount has already narrowed from a peak of 59% in mid-2026 to 27% currently, and we see scope for further narrowing should national-team ETF buying continue.
- **We cut our earnings estimates across our battery coverage again,** primarily reflecting lower assumed unit profitability rather than weaker volumes. Following CATL's 3Q26 miss and recent value-chain feedback, we see increasing evidence that customers are unwilling to simply absorb incremental battery taxes through higher prices. OEMs and ESS integrators are instead seeking burden sharing, supplier cost reductions and supply-chain optimization, while no OEM has so far guided to a vehicle price increase specifically to offset the battery consumption tax. Potential year-end vehicle price cuts and lower lithium prices could further complicate battery-price negotiations. **For CATL**, we first lowered our 2027E net profit/unit assumption to Rmb0.09/Wh in our Sep-10 report, cut this to Rmb0.08/Wh in our Oct-20 CATL-H downgrade, and have now reduced it further to Rmb0.07/Wh.
- **Growth without profit? The earnings divergence becomes much clearer in 2027E.** We now forecast CATL's 2026/27E net profit at Rmb85bn/Rmb89bn, implying just 5% YoY growth in 2027E. Yet CATL is the only battery maker under our coverage for which we forecast positive profit growth next year, versus profit declines at EVE and CALB and a net loss at Gotion. This is despite substantially stronger volume growth at Tier-2 players: we forecast 2027E shipment growth of 25% for CATL, versus 30-90%+ for tier-2 players (partially referring to the company's guidance).
- **Tier-2 balance sheets are weaker this time; financial resilience may become the next competitive moat.** The earnings pressure matters more today because several Tier-2 players have continued to invest aggressively despite structurally lower profitability. At 3Q26, net debt/equity stood at 150% for

See page 57 for analyst certification and important disclosures, including non-US analyst disclosures.

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Gotion, 100% for CALB and 60% for EVE, versus a 21% net-cash/equity position for CATL. Going forward, we expect CALB, EVE and Gotion to continue generating negative FCF as they fund capacity expansion and R&D, while shorter supplier-payment cycles under China's anti-involution measures could create an additional working-capital drag. Lower unit earnings therefore create a more difficult trade-off for Tier-2 players between maintaining investment, raising leverage and protecting the balance sheet. CATL's superior profitability, cash generation and net-cash position should give it materially greater flexibility to invest through the cycle.

- **Why do some Tier-2 players appear able to pass through more tax than CATL?** We would be careful with the headline numbers. Recent company comments appear : **Sunwoda** said negotiations had been completed with c.80-90% of customers, with more than 90% pass-through among agreed customers, while **EVE** indicated that most customers had agreed to bear or share incremental costs; **CATL**, by comparison, said negotiations remain ongoing and it is currently absorbing the consumption tax. We do not think this necessarily implies stronger Tier-2 bargaining power. Differences in customer/project mix matter: new ESS projects can incorporate taxes into new quotations more easily than existing passenger-EV nominations. Moreover, headline price pass-through does not necessarily equal economic pass-through, as customers could receive offsets through other project pricing, annual rebates or commercial concessions. Recognition timing on accounting could also contribute to near-term reported differences. We therefore believe investors should focus more on realized ASP, gross and and NP/Wh over the next few quarters, rather than stated pass-through percentages alone.
- **CATL may take the first hit, but could ultimately gain the most.** CATL may absorb more near-term tax pressure given its larger profit pool, but Tier-2 players face a tougher trade-off: maintain pricing and risk losing competitiveness, or follow CATL and put further pressure on already-thin profits and weaker balance sheets. We believe either scenario strengthens CATL's relative competitive position.

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Equity Ratings and Price Targets

Company	Ticker	Mkt Cap ($ mn)	Price CCY	Price	Rating Cur	Rating Prev	Price Target Cur	Price Target End Date	Price Target Prev	Price Target End Date
CATL - A	300750 CH	167,149	CNY	252.88	OW	n/c	300.00	Jun-27	310.00	n/c
CATL - H	3750 HK	10,488	HKD	377.00	N	n/c	420.00	Jun-27	440.00	n/c
CALB	3931 HK	1,694	HKD	13.72	N	n/c	15.00	Jun-27	17.00	n/c
Gotion High-Tech	002074 CH	6,570	CNY	24.15	UW	n/c	18.00	Jun-27	n/c	n/c
EVE Energy	300014 CH	16,259	CNY	49.91	UW	n/c	33.00	Jun-27	n/c	n/c

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change.All prices as of 04 Nov 26.

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Valuation summary

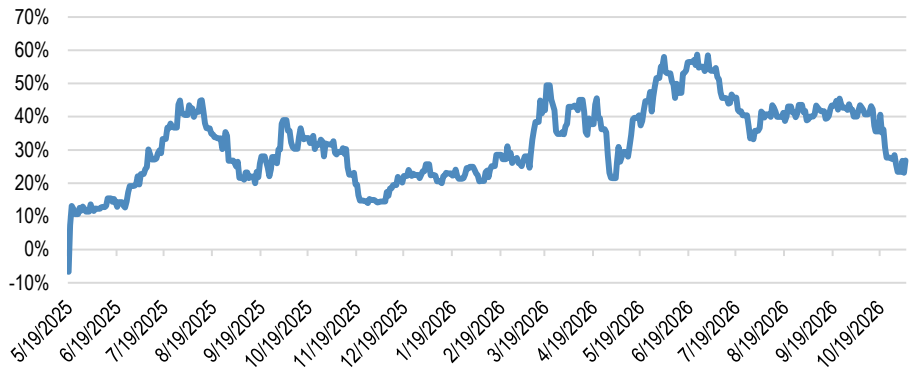
Table 1: Global battery valuation comps

As of Nov 4, 2026

Global Valuation Comps																
Company	Ticker	Rating	Stock price (LC)	Mkt Cap (US$bn)	EV/EBITDA (x)		P/E (x)		EPS growth (%)		RoE (%)		Dividends yield (%)		FCF yield (%)		Return (%)
					26E	27E	26E	27E	26E	27E	26E	27E	26E	27E	26E	27E	YTD
Cell																	
CATL - A	300750 CH	OW	253	177.5	8.4	7.1	13.8	12.9	14%	7%	23%	22%	3.1%	3.6%	1%	4%	-30%
CATL - H	3750 HK	N	377	177.5	8.8	7.5	17.5	16.3	14%	7%	23%	22%	2.5%	2.9%	1%	3%	-25%
BYD - H	1211 HK	N	72	103.3	6.5	5.6	15.6	12.0	19%	30%	13%	15%	1.5%	1.9%	5%	6%	-24%
BYD - A	002594 CH	UW	85	103.3	6.5	5.6	21.1	16.0	21%	32%	14%	16%	1.1%	1.5%	5%	6%	-13%
Gotion High-Tech	002074 CH	UW	24	6.6	13.6	11.4	50.3	nm	-64%	-174%	3%	-2%	0.5%	0.6%	-10%	-12%	-38%
EVE Energy	300014 CH	UW	50	16.3	12.2	9.5	15.2	17.4	68%	-13%	15%	12%	1.4%	1.9%	5%	-3%	-24%
CALB	3931 HK	N	14	3.5	11.0	8.5	13.2	19.9	19%	-34%	5%	3%	0.4%	1.4%	-52%	-41%	-45%
REPT	666 HK	NC	7	2.1	4.7	3.8	10.8	8.1	126%	33%	11%	13%	0.0%	0.5%	-10%	8%	-46%
Sunwoda Electric	300207 CH	NC	18	5.1	12.2	9.5	14.9	11.8	129%	26%	8%	10%	1.3%	1.7%	-1%	9%	-30%
ZE Energy	3677 HK	NC	4	1.2	5.4	3.5	8.2	4.9	20%	65%	11%	16%	1.0%	1.7%	-12%	17%	-58%
LG Energy Solution	373220 KS	N	355,000	62.0	19.5	13.8	nm	61.0	19%	265%	-4%	6%	0.0%	0.0%	-3%	2%	-4%
Samsung SDI	006400 KS	OW	545,000	32.8	19.4	14.0	58.7	30.6	211%	92%	4%	6%	0.2%	0.2%	-1%	3%	101%
SK Innovation	096770 KS	OW	123,700	15.6	4.4	6.4	5.4	5.6	214%	-5%	16%	11%	1.8%	2.4%	18%	23%	22%
Panasonic	6752 JP	N	3,501	54.3	8.6	7.5	15.7	13.0	163%	0%	10%	11%	1.8%	2.1%	4%	5%	73%
TDK	6762 JP	OW	2,451	30.1	7.5	6.6	17.3	14.9	31%	16%	12%	13%	1.7%	2.0%	1%	4%	11%
Average					**9.9**	**8.0**	**19.8**	**17.5**	**67%**	**6%**	**11%**	**11%**	**1.2%**	**1.6%**	**-3%**	**2%**	**-9%**

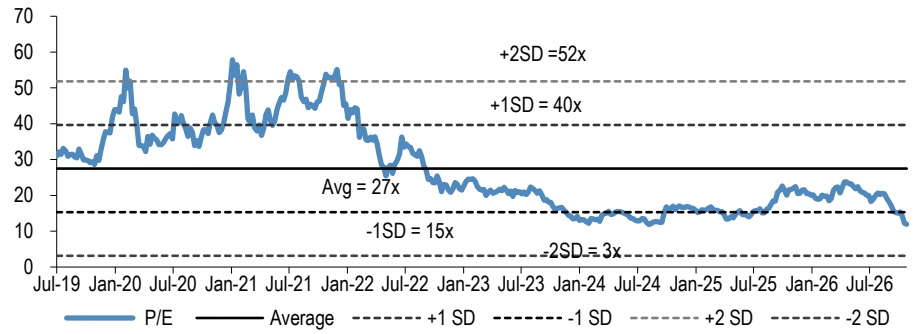
Source: Bloomberg Finance L.P., J.P. Morgan. CATL, CALB, Gotion and EVE based on JPMe, others based on Bloomberg consensus. NC = Not covered. Priced as of 4 Nov 2026.

Figure 1: CATL H vs. A premium



Source: Bloomberg Finance L.P.

Figure 2: CATL-A P/E band



Source: J.P. Morgan estimates, Bloomberg Finance L.P.

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National-team buying contributed to CATL-A rally

National-team buying appears to have supported CATL-A's share price rally this week. The national team sold ~US$231bn of China ETFs in 1H26 (link), before purchasing nearly US$60bn since October 9, per Bloomberg. Based on daily data on estimated national team ETF purchases/sales provided by Bloomberg Intelligence, we estimate that implied CATL-A selling through these ETFs by the national team accounted for over 10% of the stock's cumulative trading volume during the selling cycle, while subsequent implied buying by the national team represented ~5% of the cumulative trading volume from Oct 9 to Nov 3, 2026.

Notably, the implied flows were more significant on certain trading days, with national team ETF purchases representing 14-15% of CATL-A's daily trading value during this buying cycle, versus 25–30% for ETF-driven selling on some days during the selling cycle in 1H26.

Table 2: Estimated national team buying of CATL-A via ETFs as a percentage of trading value (Oct 9–Nov 3)

Total estimated ETF amount bought by National Team_t (USD mn)	9-Oct	12-Oct	13-Oct	14-Oct	15-Oct	16-Oct	19-Oct	20-Oct	21-Oct	22-Oct	23-Oct	26-Oct	27-Oct	28-Oct	29-Oct	30-Oct	2-Nov	3-Nov	Grand Total
CSI 1000	340	0	0	0	0	0	456	0	0	491	716	0	152	166	0	83	1,335	1,013	**4,752**
CSI 500	190	0	0	0	0	0	621	0	0	349	943	0	0	0	0	100	996	851	**4,051**
CSI 300	215	0	238	0	3,310	2,038	408	826	692	3,500	3,366	3,248	845	230	1,301	1,257	2,115	5,031	**28,622**
SSE50	82	0	0	0	123	565	304	664	0	677	0	0	0	0	0	0	236	1,556	**4,208**
STAR50	655	0	0	0	953	97	303	414	185	1,003	630	575	0	0	576	407	1,044	1,659	**8,500**
ChiNext	327	0	326	0	926	240	331	251	756	892	1,039	378	209	0	643	649	435	1,362	**8,763**
Grand Total	**1,809**	**-**	**564**	**-**	**5,312**	**2,940**	**2,423**	**2,155**	**1,633**	**6,913**	**6,693**	**4,201**	**1,206**	**397**	**2,520**	**2,496**	**6,160**	**11,472**	**58,897**
CATL weighting%_t-1																			
CSI 1000	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	
CSI 500	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	
CSI 300	3.1%	3.2%	3.2%	3.1%	3.1%	3.1%	3.1%	3.0%	2.9%	2.6%	2.5%	2.7%	2.7%	2.7%	2.6%	2.6%	2.7%	2.8%	
SSE50	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	
STAR50	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	
ChiNext	14.4%	14.9%	15.3%	14.9%	14.8%	15.2%	15.2%	14.7%	14.3%	12.8%	12.9%	13.3%	13.6%	13.8%	13.1%	13.7%	14.5%	14.7%	
Estimated amount bought on CATL-A by national team (USD mn)	**54**	**-**	**58**	**-**	**240**	**100**	**63**	**61**	**128**	**204**	**219**	**138**	**51**	**6**	**118**	**122**	**120**	**339**	**2,023**
CATL daily turnover volume (USD mn)	2,395	1,879	1,778	1,422	1,731	1,229	1,257	2,284	4,860	3,055	3,055	3,055	3,055	1,537	1,289	1,549	1,887	2,326	39,643
National team bought % CATL turnover volume	**2.2%**	**0.0%**	**3.2%**	**0.0%**	**13.8%**	**8.1%**	**5.0%**	**2.7%**	**2.6%**	**6.7%**	**7.2%**	**4.5%**	**1.7%**	**0.4%**	**9.2%**	**7.9%**	**6.4%**	**14.6%**	**5.1%**
CATL-A stock price daily change	**3.8%**	**0.2%**	**-3.1%**	**-3.1%**	**-0.6%**	**-0.5%**	**-3.6%**	**-3.0%**	**-12.0%**	**-3.3%**	**7.8%**	**0.2%**	**-2.1%**	**-1.7%**	**0.0%**	**1.7%**	**3.1%**	**3.8%**	

Source: Bloomberg Intelligence, J.P. Morgan

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Why are we cutting estimates again?

Cutting earnings again: Pass-through is proving harder than initially expected

We cut our 2026-27E earnings estimates across China battery makers again, as recent results and management comments increase our concerns over the industry's ability to pass through incremental tax costs.

- **CATL's 3Q26 miss** (note) points to greater near-term pressure. The result suggests the tax and cost impact is already more meaningful than what the market previously expected, while customer negotiations remain ongoing.
- **Downstream customers are pushing back on cost pass-through.** Recent comments from OEMs and ESS integrators point to increasingly difficult burden-sharing negotiations. Rather than simply accepting higher battery prices, downstream customers are discussing cost sharing with suppliers, internal cost reductions and supply-chain optimization. Notably, no OEM has so far indicated plans to raise vehicle prices specifically to offset the battery consumption tax, raising the risk that battery makers will ultimately absorb a meaningful portion of the incremental burden.
- **Even vertically integrated OEMs are not signaling greater willingness to absorb the tax.** BYD saw a material battery consumption-tax impact in 3Q, while Great Wall Motor, despite sourcing c.85% of its battery demand from an affiliated battery producer, has discussed cost sharing with battery suppliers rather than passing the cost on through higher vehicle prices. We believe this provides another indication of the difficulty battery makers could face in passing incremental tax costs downstream.
- **Could there be another round of vehicle price cuts at year-end?** Third-party channel feedback suggests some OEMs may launch another round of price cuts to meet annual sales targets, potentially citing lower lithium prices. If vehicle prices continue to fall even as battery-related taxes increase, we see limited scope for OEMs to absorb higher battery prices, reinforcing our concern that a greater share of the tax burden could ultimately fall back on battery suppliers.

2027E: Growth without profit

2027: CATL the only player expected to deliver profit growth

Earnings pressure becomes more evident in our 2027E forecasts. We expect Gotion to turn loss-making, while CALB and EVE could see YoY profit declines despite 40-90% volume growth, highlighting that strong shipment growth may no longer translate into earnings growth as tax and pricing pressure intensify. CATL is the only China battery maker under our coverage for which we forecast YoY profit growth in 2027E, despite assuming the lowest volume growth given its much larger scale. Nevertheless, we have cut CATL's 2027E earnings further and now stand 16% below consensus, reflecting our increasingly cautious assumptions on tax pass-through and industry profitability.

Our cuts still do not assume the full 4% burden for tier-2 in 2028

Importantly, our revised estimates for tier-2 only incorporate our assumed tax impact in 2026-27; we have not extrapolated the full 4% consumption-tax burden into 2028. Doing so without assuming meaningful pass-through or other offsets would push all Tier-2 battery makers in our coverage into losses in 2028, which is not our base case at this stage.

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Table 3: Revised 2026-2027E for battery makers

	JPM NP estimates			Bloomberg consensus			JPMe vs. consensus	
	2026E	2027E	YoY	2026E	2027E	YoY	2026E	2027E
CATL	84,832	89,143	5%	90,068	106,751	19%	-6%	-16%
CALB	1,754	1,161	-34%	2,528	3,680	46%	-31%	-68%
EVE	6,742	5,856	-13%	7,113	9,582	35%	-5%	-39%
Gotion	848	-629	-174%	1,786	2,359	32%	-53%	-127%

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Table 4: 2025-2027E Sales volume and unit profit assumptions for battery makers

Company	2025A	2026E	2027E
Sales volume (GWh)			
CATL	661	980	1,228
CALB	116	180	350
EVE	121	200	280
Gotion	100	150	200
YoY			
CATL		48%	25%
CALB		55%	94%
EVE		65%	40%
Gotion		50%	33%
Unit NP (RMB/Wh)			
CATL	0.109	0.087	0.073
CALB	0.013	0.010	0.003
EVE	0.017	0.024	0.012
Gotion	0.024	0.006	-0.003
Net profit (RMB mn)			
CATL	72,201	84,832	89,143
CALB	1,476	1,754	1,161
EVE	4,134	6,742	5,856
Gotion	2,383	848	-629
YoY			
CATL		17%	5%
CALB		19%	-34%
EVE		63%	-13%
Gotion		-64%	-174%

Source: Company data, J.P. Morgan estimates.

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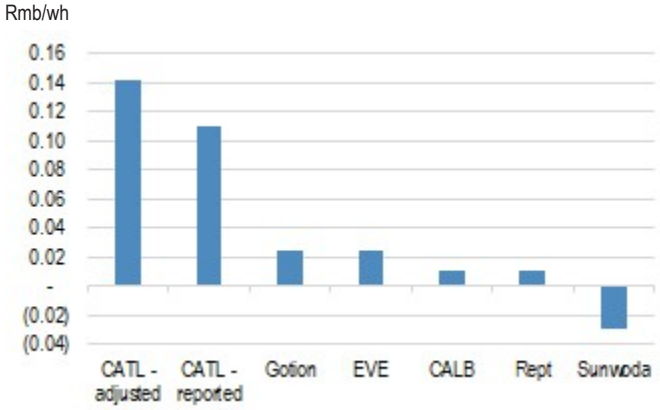
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Why we prefer CATL: the financial gap is widening, not narrowing

CATL's underlying earnings buffer may be wider than headline profits suggest

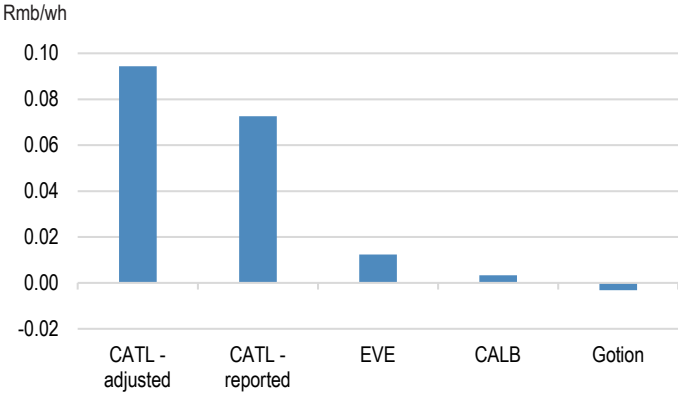
Importantly, we believe CATL's reported profitability may understate its underlying earnings power relative to peers. CATL applies some of the most conservative accounting treatments among major Chinese battery manufacturers, including higher warranty provisions, shorter equipment depreciation schedules and full expensing of R&D. Our analysis suggests that applying accounting treatments similar to those of many Tier-2 peers could lift CATL's reported profits by more than 30%. We therefore believe the underlying profitability gap between CATL and Tier-2 peers is wider than headline earnings suggest, providing CATL with greater financial capacity to absorb near-term industry pressure while sustaining investment in capacity, R&D and customer support.

Figure 3: Net profit/unit - CATL adjusted profit vs. tier-2 (FY25)



Source: Company data, J.P. Morgan estimates. Adjusted profit using tier-2 accounting treatment.

Figure 4: Net profit/unit - CATL adjusted profit vs. tier-2 (FY27E)



Source: Company data, J.P. Morgan estimates. Adjusted profit using tier-2 accounting treatment.

Financial resilience the next competitive moat

Financial resilience may emerge as the next competitive differentiator

The current market debate has focused largely on technology convergence and market share shifts. However, we believe investors may increasingly need to focus on an equally important question: Which battery makers can continue funding capacity expansion and R&D in a lower-profit environment?

Cash flow generation, rather than shipment growth, may become the key differentiator as industry profitability comes under pressure. CATL remains the only global battery manufacturer generating consistent positive free cash flow while maintaining a net-cash balance sheet. By contrast, many tier-2 players continue to operate with significantly lower profitability, weaker operating cash flow generation and higher reliance on external financing.

Anti-involution measures could create additional working capital pressures

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China's ongoing anti-involution campaign is also increasing focus on supplier-payment practices across manufacturing industries. Recent disclosures by CATL and BYD suggest efforts to shorten payment cycles and improve settlement terms with suppliers. While such measures may benefit upstream suppliers and improve supply chain sustainability, they are also likely to reduce the working capital financing benefit historically enjoyed by battery manufacturers.

For battery makers, shorter payable days directly translate into lower operating cash flow and higher working capital requirements. The impact may be manageable for companies with strong balance sheets and large cash reserves. However, the resulting working capital outflow could become increasingly material for players already generating thin margins and limited operating cash flow. 1H26 reports showed significant dispersion in operating cash flow generation across battery makers, with several tier-2 players generating minimal or even negative operating cash flow per unit in recent periods.

Higher leverage may be required to sustain expansion and R&D

At the same time, the industry remains highly capital-intensive. Battery manufacturers continue to invest heavily in new capacity, next-generation technologies, sodium-ion batteries, semi-solid-state batteries and overseas localization projects. For tier-2 players, slowing profitability and weaker operating cash flow may increasingly force a trade-off between balance sheet strength and growth ambitions.

We therefore expect a number of tier-2 players to generate increasingly negative free cash flow over the next one to two years, particularly if industry pricing remains under pressure and working capital conditions tighten. Maintaining expansion plans and R&D investments may consequently require higher leverage, additional equity financing or slower investment spending.

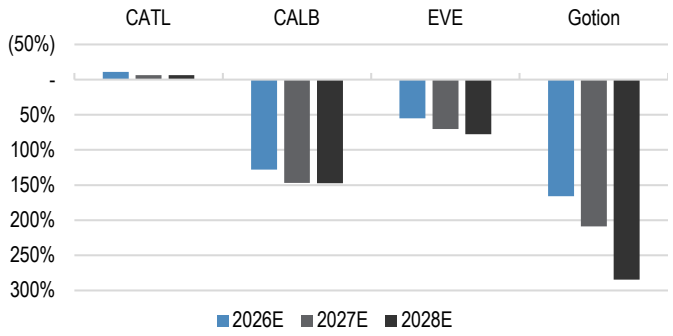
In our view, this highlights an increasingly competitive advantage for CATL. The company's superior profitability, operating cash flow generation and net-cash position provide greater flexibility to continue investing through the cycle, while weaker players may face growing balance sheet constraints. Over time, financial resilience could become just as important as technology and market share in determining industry winners.

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Figure 5: Net debt (cash) to equity

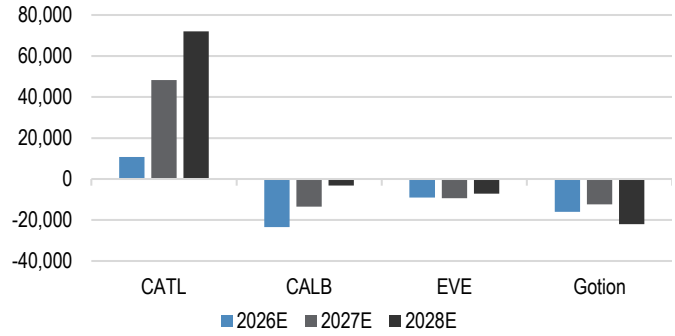
CATL is the only player in a net-cash position; tier-2 players may need to raise leverage



Source: Company data, J.P. Morgan estimates.

Figure 6: Free cash flow

Rmb mn

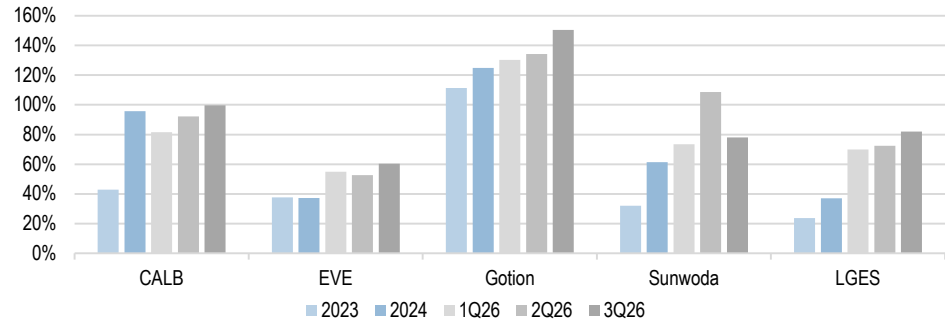


Source: Company data, J.P. Morgan estimates.

Unlike 2023-24, Tier-2 makers enter this downcycle with stretched balance sheets

A key difference versus the 2023-24 downcycle is that Tier-2 battery makers are entering the current downturn with much less balance-sheet headroom. Net debt/equity has increased materially across peers, with Gotion/CALB reaching c.150%/100% by 3Q26 versus c.110%/40% in 2023, while leverage at EVE and Sunwoda has also moved higher. This matters because another round of margin pressure is now hitting an industry that has already spent heavily on capacity expansion and accumulated substantially more debt. In our view, weaker starting balance sheets reduce Tier-2 players' ability to absorb earnings pressure while sustaining capex, potentially forcing sharper capex discipline and putting further pressure on FCF as the downcycle progresses.

Figure 7: Tier-2 battery makers & LGES net debt/equity in the last downcycle (2023-24) vs. now



Source: Company data, CALB based on A-shr.

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Cash flow and balance sheet analysis

Table 5: Battery makers' OP CF per unit (Rmb/wh)

	2023	2024	2025	1H24	2H24	1H25	2H25	1H26	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26
CATL	0.24	0.20	0.20	0.22	0.19	0.21	0.19	0.14	0.26	0.17	0.13	0.24	0.17	0.11	0.01
Gotion	0.05	0.04	0.04	0.01	0.05	0.01	0.05	0.03	0.01	0.01	0.01	0.09	0.01	0.03	0.00
EVE	0.16	0.05	0.06	0.01	0.08	0.05	0.07	0.00	0.04	0.06	0.08	0.07	-0.01	0.00	0.39
CALB	0.07	0.04	0.09	0.05	0.04	0.06	0.11	0.04	0.03	0.08	0.09	0.13	0.11	-0.01	0.06
Sunwoda	0.23	0.11	0.09	0.21	0.09	0.06	0.10	-0.07			0.13	0.08	0.01	-0.12	-0.02
REPT	0.05	0.09	0.01	0.12	0.09	0.03	0.00	0.08							
Hithium	-0.10	0.00													
LGES	0.16	0.18	0.13												

Source: J.P. Morgan calculations based on company data.

Cash flow analysis: CATL the only player consistently generating FCF

Table 6: Battery makers' free cash flow analysis

Company	OPCF (Rmb mn)				Capex (Rmb mn)				FCF (Rmb mn)			
	2025	1Q26	2Q26	3Q26	2025	1Q26	2Q26	3Q26	2025	1Q26	2Q26	3Q26
CATL	132,821	33,286	28,353	1,557	(42,345)	(12,416)	(12,656)	(17,095)	90,476	20,870	15,697	(15,537)
BYD	60,318	2,263	34,069	16,304	(156,808)	(22,063)	(22,640)	(42,676)	(96,490)	(19,800)	11,429	(26,372)
CALB	9,066	3,055	(192)	2,603	(15,790)	(7,431)	(8,389)	(7,126)	(6,724)	(4,376)	(8,580)	(4,523)
EVE	7,553	(507)	100	1,709	(10,446)	(2,993)	(2,350)	(2,876)	(2,893)	(3,500)	(2,251)	(1,167)
Gotion	2,204	(286)	(106)	(141)	(10,171)	(4,886)	(4,893)	(2,515)	(7,967)	(5,173)	(5,000)	(2,657)
Sunwoda	3,501	(65)	(2,348)	(755)	(8,411)	(2,322)	(2,970)	(2,983)	(4,910)	(2,387)	(5,318)	(3,737)
Rept	3,136	3,303			(3,041)	(3,299)			95	4		
Great Power	892	(66)	195	725	(546)	(163)	(76)	(202)	346	(229)	119	523
Farasis	1,660	(417)	597	536	(479)	(126)	(167)	(341)	1,180	(543)	430	195
Zenergy	1,437	640			(2,588)	(1,971)			(1,151)	(1,331)		
LGES	22,420	(1,493)	115		(54,803)	(7,913)	(7,226)		(32,382)	(9,406)	(7,111)	
SDI	4,008	402	110		(15,513)	(2,791)	(2,422)		(11,505)	(2,389)	(2,312)	
SK Innovation	11,549	(2,067)	13,356		(27,150)	(5,078)	(3,345)		(15,601)	(7,145)	10,011	

Source: Company, Bloomberg Finance L.P., J.P. Morgan. Note: CALB based on A-shr; Rept 1Q/2Q26 = 1H26

Cash burn analysis: Chinese tier-2 players' cash on hand can only support ~3-7 quarters of cash burn

Table 7: Battery makers' cash burn analysis

Company	3Q26 (Rmb mn)				Cash burn (no. of quarters)	
	Cash on hand	OPCF	Capex	FCF	assume no capex	assume capex at same rate
CATL	432,594	1,557	17,095	(15,537)		28
BYD	71,723	16,304	42,676	(26,372)		3
CALB	11,770	2,603	7,126	(4,523)		3
EVE	16,345	1,709	2,876	(1,167)		14
Gotion	19,707	(141)	2,515	(2,657)	140	7
Sunwoda	24,386	(755)	2,983	(3,737)	32	7
Rept	9,249	1,652	1,650	2		
Great Power	3,949	725	202	523		
Farasis	4,812	536	341	195		
Zenergy	4,822	320	985	(665)		7

Source: Company, Bloomberg Finance L.P., J.P. Morgan. Note: CALB based on A-shr; Rept and Zenergy using 1H26 data

Gearing and interest coverage analysis

Table 8: Battery makers' net debt/equity and interest coverage ratio analysis

Company	Net debt (Cash) / equity				Interest coverage (EBIT/ Interest)			
	2025	1Q26	2Q26	3Q26	2025	1Q26	2Q26	3Q26
CATL	(46%)	(42%)	(31%)	(21%)	27	35	36	19
BYD	5%	24%	18%	40%	14	7	14	16
CALB	106%	82%	92%	100%	3	4	4	4
EVE	49%	55%	53%	60%	5	9	10	11
Gotion	122%	130%	134%	151%	2	1	5	(0)
Sunwoda	99%	73%	109%	78%	0	3	3	0
Rept	35%	24%	24%		3	6	6	
Great Power	94%	74%	88%	71%	2	18	25	11
Farasis	27%	11%	19%	19%	(2)	(1)	(5)	(1)
Zenergy	20%	32%	32%		3	3	3	
LGES	64%	70%	72%	82%	2	(1)	0	
SDI	34%	40%	40%		(5)	(3)	2	
SK Innovation	68%	70%	69%		0	5	9	

Source: Company, Bloomberg Finance L.P., J.P. Morgan. Note: CALB based on A-shr; Rept 1Q/2Q26 = 1H26

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Table 9: Battery makers' accounts payable days (No. of days)

		2023	2024	2025	1Q26	2Q26	3Q26	3Q26 vs. 2Q26	3Q26 vs. 2025
CATL	300750 CH	139	158	153	145	137	112	-25	-41
BYD	002594 CH	122	122	114	116	110	99	-10	-15
CALB	3931 HK	161	134	97	76	83	95	13	-2
EVE	300014 CH	183	232	196	175	159	149	-10	-47
Gotion	002074 CH	186	181	162	146	137	130	-7	-32
Sunwoda	300207 CH	143	124	122	113	114	119	5	-4
Rept	666 HK	191	210	244	230	230	n/a		-15
Great Power	300438 CH	162	191	149	136	122	115	-7	-34
Farasis	688567 CH	110	111	69	88	97	80	-17	10
LGES	373220 KS	47	50	46	51	46	46	0	0
SDI	006400 KS	44	42	30	34	32	32	0	2
SK Innovation	096770 KS	45	49	46	45	35	35	0	-12

Source: Company. Note: CALB based on A-shr reporting, Rept 1Q/2Q26 using 1H26 data. 3Q26 vs. 2025 using 1H26 vs. 2025.

Table 10: Battery makers' cash conversion cycle (No. of days)

		2023	2024	2025	1Q26	2Q26	3Q26	3Q26 vs. 2Q26	3Q26 vs. 2025
CATL	300750 CH	25	33	40	40	43	55	12	15
BYD	002594 CH	-24	-29	-18	-2	11	30	19	48
CALB	3931 HK	69	61	59	74	77	78	0	18
EVE	300014 CH	-15	-57	-30	-15	5	15	10	45
Gotion	002074 CH	37	65	78	103	108	108	1	30
Sunwoda	300207 CH	36	31	47	55	59	58	-1	10
Rept	666 HK	2	-49	-86	-76	-76	n/a		10
Great Power	300438 CH	156	103	110	100	88	76	-11	-33
Farasis	688567 CH	81	106	125	130	133	156	23	31
LGES	373220 KS	86	104	109	119	120	120	0	11
SDI	006400 KS	70	112	143	141	139	139	0	-4
SK Innovation	096770 KS	42	39	31	39	37	37	0	5

Source: Company. Note: CALB based on A-shr reporting, Rept 1Q/2Q26 using 1H26 data. 3Q26 vs. 2025 using 1H26 vs. 2025.

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Asia Pacific Equity Research
05 November 2026

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Tax pass-through: Why headline comments can be misleading

What battery makers are saying

Pass-through is progressing, but remains uneven; EV appears more challenging than ESS

Feedback from battery makers suggests that consumption-tax pass-through is progressing but remains highly uneven across customers and end markets, implying the earnings impact is unlikely to be a simple function of the statutory tax rate. Sunwoda and EVE appear to have made relatively good progress, with Sunwoda having completed negotiations with c.80-90% of customers and achieving close to full pass-through among agreed customers, while EVE indicated that most customers have agreed to bear or share the incremental costs. By contrast, Gotion, SVOLT, Farasis and Zenergy remain in negotiations, while REPT highlighted particularly challenging negotiations with EV customers. Overall, ESS appears more supportive of cost sharing than EV batteries, where OEM margin pressure and bargaining power make full pass-through more difficult.

Export VAT rebate costs also appear somewhat easier to share initially, with several ESS players incorporating higher tax costs into customer quotations or reaching cost-sharing arrangements. However, management comments suggest that the additional 6ppt rebate reduction from January 2027 could be more difficult to pass through, leaving further pressure on overseas margins. We therefore see the new tax regime less as a mechanical industry-wide earnings reduction and more as a reallocation of the profit pool across battery makers, OEMs and ESS customers, with the ultimate impact determined by customer mix, supplier bargaining power and the extent/timing of pass-through. Importantly, with the consumption tax only taking effect in September and repricing negotiations still ongoing, 3Q26 likely does not reflect the full run-rate impact; 4Q26 should provide a better indication of both the underlying tax burden and companies' ability to offset it through pricing.

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Table 11: Battery makers' comments on consumption tax and VAT rebate reduction

Battery manufacturer	Comments on consumption tax	Comments on VAT rebate
CATL	**Cost pass-through remains under negotiation, with CATL currently absorbing the tax.** The 2% tax took effect on September 1, affecting only one month in 3Q. CATL is negotiating cost-sharing arrangements with customers, with no uniform allocation ratio available. If pass-through remains incomplete, the full-quarter impact could put greater pressure on 4Q earnings than in 3Q.	**Negotiating with customers to share the additional costs from the rebate reduction, with no uniform allocation ratio available.** The rebate rate was reduced from 9% to 6%, effective April 1. As export rebates are based on shipments while revenue is recognized separately, timing differences meant the impact was only partially reflected in 2Q, versus a full-quarter impact in 3Q.
BYD	**The QoQ decline in 3Q gross margin mainly reflected battery consumption tax,** higher costs and product promotions. 3Q battery shipments was over 30GWh, translating to full-quarter consumption tax impact of around Rmb500-600mn. Shipments could increase QoQ in 4Q, potentially increasing the consumption tax impact. Based on annual shipments of 200GWh, revenue of Rmb100bn and a 4% tax rate, the estimated annual impact is around Rmb3-4bn.	
EVE Energy	**Pass-through was largely completed in September,** with negotiations ongoing for only a small number of domestic passenger vehicle / EV customers. EVE began customer discussions proactively in 1H26. The vast majority of customers have agreed to bear or share the additional costs, and overall pass-through has progressed smoothly.	Agreements are largely in place with consumer battery customers; new ESS customer quotations incorporate the additional tax costs, which are borne by customers; **negotiations remain more challenging for OEM projects already awarded.** EVE considers the overall impact manageable and is pursuing internal cost reductions to provide further offsets.
CALB	**Some pass-through had been achieved by October, with further partial implementation expected in 4Q.** Treatment in ESS depends on the specific commercial arrangement and cannot uniformly be described as repricing new orders.	Company had very limited direct export volume, mainly as ESS systems rather than standalone cells.
Gotion	**Customer negotiations remain ongoing, with no pass-through implemented and no clear implementation timeline.** Only one customer has shown some willingness to bear 50% of the tax so far.	Prices are quoted based on target gross margins. Costs from the 3ppt rebate reduction effective in April can be partially passed through, but **management expects the subsequent 6ppt reduction to be more difficult to pass through.** Expects some exports to be brought forward to November ahead of the rebate reduction.
Sunwoda	**Consumption tax negotiations have been completed with around 80%-90% of customers,** with discussions ongoing for the remainder. For customers that have reached agreements, more than 90% of the cost is being passed through, close to full pass-through. Some price adjustments take effect in October, while others are expected one month later.	Plans to pass through the additional costs from export VAT rebate changes using a mechanism similar to that for consumption tax. Negotiations remain ongoing.
Rept	**Pass-through is difficult for EV batteries, while ESS batteries offer some negotiating room; neither is confirmed.** Management is unaware of successful EV battery tax pass-through, citing thin OEM margins and intense competition. ESS customers place greater value on quality, warranties and after-sales service, supporting some cost-sharing potential, but negotiations are still required. Management does not expect pass-through to take effect in October–November.	Management said the market had anticipated rebate cuts, but implementation was faster than expected. There was already shipment pull-forward ahead of the tax changes. The additional cost will likely need to be absorbed internally. Lithium prices and taxes are negotiated separately.
Great Power	**Consumption tax pass-through remains challenging.** Customers largely agreed in August to bear most of the tax, but reconsidered cost-sharing after sharp lithium carbonate price fluctuations in late September. Great Power will continue pursuing pass-through to domestic customers and expand overseas sales to offset the impact. The 2% tax took effect in September, and the 4Q earnings impact remains uncertain. A potential increase to 4% in 2027 would increase the burden. Management expects industry participants may raise the impact with authorities, potentially leading to policy adjustments.	**Customers have agreed to bear the additional costs from the 6ppt export VAT rebate reduction**. During September negotiations on 2027 deliveries and production schedules, pricing was adjusted for both new orders and existing orders pending delivery. Management expects a limited impact on margins for 2027 overseas orders.
Zenergy	**Consumption tax pass-through remains challenging.** OEMs face operating pressure and are reluctant to accept price increases. The tax is negotiated together with other pricing factors. Price adjustments following lower lithium carbonate prices make it difficult to isolate the actual pass-through ratio.	The company has little direct export exposure
Svolt	**Price-increase notices have been sent to some customers, but negotiations are ongoing and no customer has yet absorbed the additional cost.** Pass-through depends on supply-demand conditions, bargaining power and sole- versus dual-supplier arrangements. Transactions with parent company Great Wall Motor account for approximately 50% which also require negotiation. OEMs' limited ability to raise vehicle prices makes battery price increases difficult. Svolt expects negotiations to conclude progressively by year-end, but the final pass-through remains uncertain.	**A 50:50 cost-sharing arrangement with a EU-based customer is largely agreed.** Under the stated rebate cuts of a further 3ppt this year and 6ppt next year, Svolt would absorb a combined 4.5ppt, to be offset through cost reductions. Export negotiations have progressed more smoothly than domestic talks, but Svolt still faces additional cost pressure.
Farasis	**Currently absorbing the consumption tax introduced in September; customer price negotiations have started.** Management said negotiations are difficult with both domestic and overseas customers. No agreed pass-through ratio or financial impact was disclosed. Consumption tax, export VAT rebates and raw-material price adjustments are being negotiated separately.	**Currently absorbing the rebate cuts introduced in April; customer cost-sharing negotiations have started, with agreements expected early next year.** Negotiations remain difficult with both domestic and overseas customers. Farasis expects technical improvements and procurement savings to support unit profitability next year, but has not quantified how much of the rebate impact these savings could offset.

Source: Company, J.P. Morgan

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Why do some Tier-2 players appear to pass through more?

Headline pass-through may overstate the real economic pass-through

Recent results and management commentary have raised a key investor question: why do some Tier-2 battery makers appear able to pass through the incremental tax burden while CATL has guided to a more visible earnings impact? We do not think this necessarily implies stronger bargaining power among Tier-2 players. In our view, the divergence could reflect differences in customer/project mix, contract timing, broader commercial terms and accounting recognition, while CATL's much larger existing profit pool could also leave greater room for customers to push for burden sharing.

1. **Customer and project mix matters:** New ESS projects are easier to reprice than existing EV contracts. EVE has greater exposure to ESS and new projects, where incremental tax costs can be incorporated directly into new quotations. Existing passenger EV programs are more complicated: pricing and annual commercial terms may already have been agreed, making mid-cycle renegotiation more difficult. We therefore believe the apparent difference in pass-through could partly reflect what is being repriced and when, rather than simply who has greater bargaining power.
2. **Headline pass-through does not necessarily equal economic pass-through.** A battery maker may say it has incorporated the incremental tax into product pricing, but the battery ASP is only one element of the overall commercial package. Customer negotiations can also involve discounts on other products/projects, annual rebates and other commercial concessions. For example, a supplier could nominally add the full 2% tax to the selling price, but subsequently return part of the economics through discounts or year-end rebates. Headline pass-through could therefore appear close to 100% even though the supplier ultimately absorbs part of the burden.
3. **Accounting recognition could create an additional near-term reporting gap.** We do not have sufficient disclosure to determine whether companies are applying different accounting treatments, but we would not rule out differences in recognition timing. A more conservative approach could recognize the incremental tax in current costs/expenses even when management expects to recover part of the burden from customers, until the corresponding commercial agreement is sufficiently established. Conversely, differences in the timing of recognizing price adjustments or customer compensation could result in a different near-term P&L outcome. Reported tax impact may therefore differ from the ultimate economic burden, particularly during the transition period.
4. **CATL's scale and broader customer base could make renegotiation more complex.** CATL has a substantially broader customer and existing-project base. Rather than simply raising prices for a small number of customers, the tax burden may need to be negotiated within a much broader commercial package spanning new nominations, existing programs, battery pricing and annual rebates. This could take longer to resolve and could make CATL's near-term communication more conservative, without necessarily implying weaker ultimate pass-through ability.
5. **Management communication may not be directly comparable either.** Investors should also distinguish between reported financial outcomes and management descriptions of "pass-through." Companies may differ in how they communicate near-term profitability and the progress of customer negotiations. We would therefore put greater weight on subsequent realized ASPs, gross margins and unit profits than on the of tax pass-through alone.

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CATL may take the first hit, but ultimately gain the most

Could CATL's stronger economics actually make it harder to pass everything through?

Separately, we see a potentially explanation for why CATL could ultimately absorb more of the incremental burden: CATL's larger existing profit pool may itself give OEM customers greater incentive to ask CATL to share the pain. In other words, the final allocation of the new tax may depend not only on supplier bargaining power, but also on where the excess profitability currently sits in the value chain.

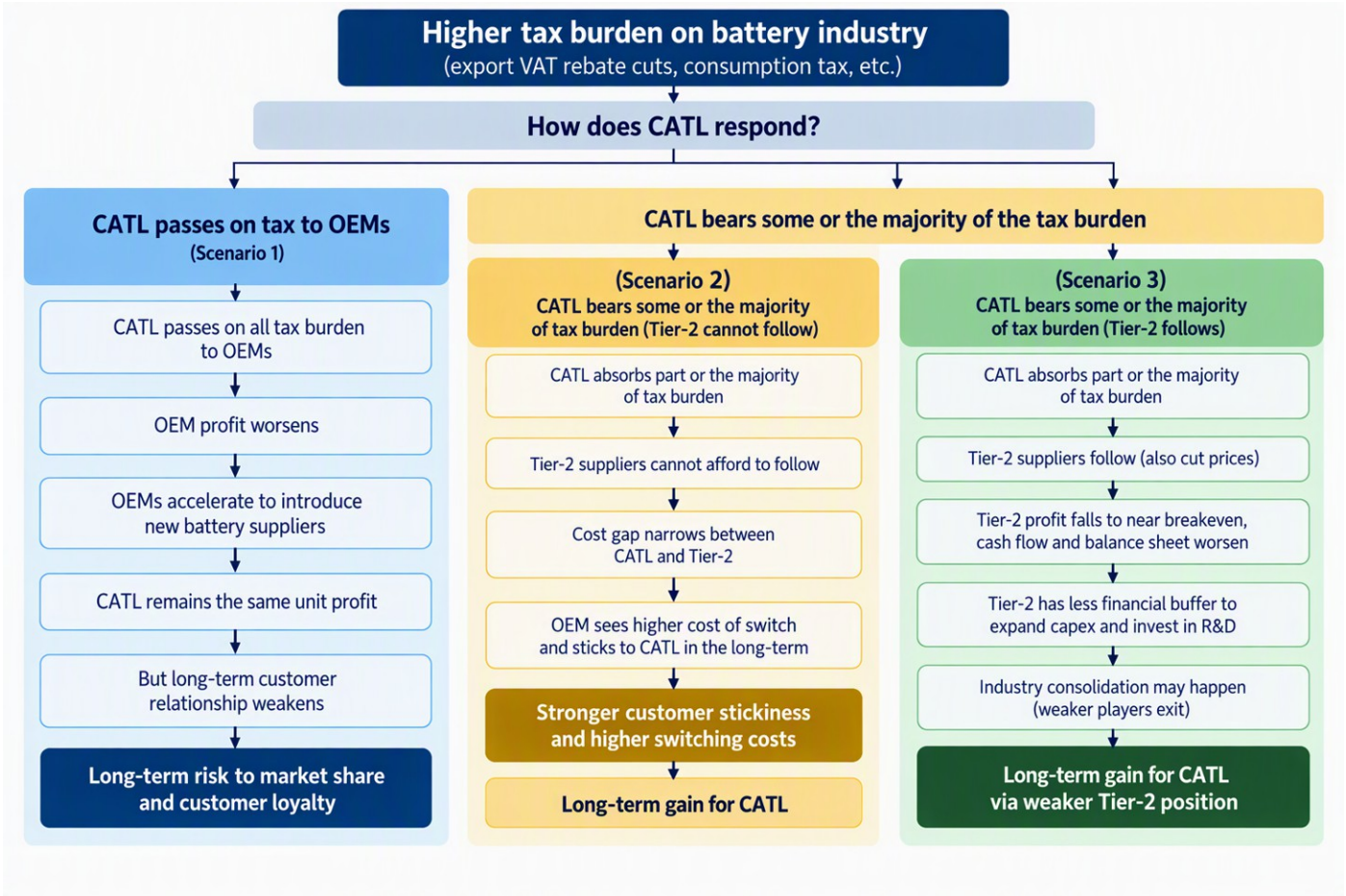
Yet taking more of the near-term pain could ultimately strengthen CATL's competitive position. As illustrated in the figure below, we see three potential scenarios. If CATL passes through the burden in full, OEM profitability would come under greater pressure, potentially strengthening customers' incentives to diversify their battery supply and weakening CATL's customer relationships over time. Conversely, if CATL absorbs part or most of the incremental burden, Tier-2 suppliers face a difficult choice: either they do not follow, making CATL relatively more competitive on cost, or they follow CATL's pricing and suffer greater pressure on profitability, cash flow and balance sheets. Either path could ultimately reinforce CATL's competitive position.

Hence, even if CATL ultimately bears a larger share of the incremental tax burden than some Tier-2 peers, we would not necessarily view this as evidence of weakening bargaining power. Rather, CATL could take the first hit but ultimately gain the most, consistent with our broader thesis of profit-pool rebalancing and industry consolidation.

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Figure 8: CATL may take the first hit, but ultimately gain the most



Source: J.P. Morgan.

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Appendix: Could accounting recognition timing explain the divergent 3Q26 tax impact?

Consumption tax: expense recognition and customer cost recovery

Under PRC Accounting Standards for Business Enterprises, consumption tax arising from ordinary sales of taxable batteries is generally recognized under **"taxes and surcharges"** in A-share financial statements, with a corresponding tax payable.

Accounting follows the accrual basis: tax obligations attributable to the reporting period must be recognized once incurred, even if the tax return has not yet been filed or payment remains outstanding.

Accordingly, for taxable transactions subject to the 2% consumption tax effective from 1 September 2026, manufacturers should recognize the full applicable tax expense, subject to statutory exemptions and deductions, irrespective of whether customers ultimately bear some or all of the cost.

Customer recovery

Where the manufacturer remains the statutory taxpayer, customer cost sharing through an agreed price increase or supplementary payment generally increases revenue, rather than reducing the consumption tax booked under taxes and surcharges**.** The tax obligation and the contractual recovery from customers must therefore be assessed separately. Successful cost recovery can offset the earnings impact, but does not, by itself, justify recognizing a lower tax expense. Revenue recognition depends on the manufacturer's entitlement to the additional consideration under the customer arrangement.

When can customer compensation be recognized as revenue?

Recognition requires an enforceable contractual entitlement, although a formally signed and company-stamped supplemental agreement is not always necessary. At the reporting date, the manufacturer must have adequate support for its right to collect the additional consideration and the amount recognized; the related goods must also have been transferred to the customer and the other revenue recognition conditions must be satisfied, including probable collection.

An existing tax adjustment clause may provide that entitlement if it clearly establishes the applicable products, allocation of the additional tax burden and effective date. Where the original contract instead specifies a fixed price, a subsequent price adjustment generally requires approval by the contracting parties. Customer-approved supplemental agreements, revised orders, emails, settlement confirmations and actual performance may provide evidence of an enforceable arrangement. These are examples of supporting evidence, rather than a mandatory checklist. The standard recognizes written, oral and other forms of contracts: the absence of a stamped agreement does not automatically prevent recognition, while an internal pricing decision or unilateral price increase notice does not, on its own, establish customer acceptance.

If the compensation constitutes variable consideration, the recognized amount is additionally constrained to the amount for which it is highly probable that a significant reversal of cumulative revenue will not occur when the uncertainty is resolved. Management's expectation that customers will eventually absorb the tax is therefore

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insufficient on its own. Cash collection or issuance of a supplementary invoice need not precede recognition, but the contractual entitlement, measurement and performance requirements must already be met.

Implications for the divergent 3Q26 earnings impact

This accounting framework may also help explain why the reported 3Q26 consumption-tax impact differed materially across battery makers. A lower reported earnings impact does not necessarily mean that a greater proportion of the tax burden has already been economically passed through to customers. While the full applicable consumption-tax expense should be recognized once the tax obligation arises, the timing of customer compensation depends on when the relevant revenue-recognition criteria are met. Differences in contractual arrangements, the progress of customer negotiations and the assessment of enforceable entitlement could therefore result in different timing of compensation recognition across companies.

This is relevant when comparing CATL with Tier-2 battery makers. Some Tier-2 players appear, based on their reported 3Q26 earnings, to have achieved greater customer cost sharing than CATL. However, the apparent difference could reflect not only stronger actual pass-through, but also differences in the timing of recognizing customer compensation. Conversely, a company taking a more conservative approach could recognize the consumption-tax expense immediately while deferring part of the corresponding customer recovery until contractual entitlement becomes sufficiently clear. We therefore caution against interpreting the pass-through implied by reported earnings as evidence that customers have already agreed to economically absorb the same proportion of the tax burden.

In other words, the stronger apparent pass-through at some Tier-2 players may not necessarily indicate superior bargaining power versus CATL; recognition timing could be one of several factors contributing to the divergence.

Export VAT rebate rate changes

China reduced the export VAT rebate rate for batteries from 13% to 9% effective December 1, 2024. The rate was further reduced from 9% to 6% effective April 1, 2026. Under the current policy, the export VAT rebate for the relevant battery products will be canceled from January 1, 2027. The applicable treatment is determined based on the export date stated in the customs declaration.

Accounting impact in 2026

By the end of 2026, the reduction in the export VAT rebate is generally recognized in COGS. It therefore primarily increases export COGS and lowers gross margin. Export VAT refunds received from the tax authority are presented within operating cash flow under “tax refunds received.”

Accounting impact from 2027

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From January 1, 2027, the export VAT rebate will be canceled and battery exports will become subject to VAT. If customer prices remain unchanged, the VAT will be deducted from export proceeds, resulting in lower reported export revenue. The impact therefore shifts from higher COGS before 2027 to lower revenue from 2027.

Customer compensation

If an OEM customer agrees to compensate the battery manufacturer for the reduction or cancellation of the export VAT rebate, the compensation generally represents additional consideration under the customer contract. It should therefore be accounted for as revenue.

Revenue is recognized when the manufacturer has an enforceable contractual right to the additional consideration, the amount can be measured reliably, the related batteries have been delivered and the other revenue recognition requirements have been satisfied. Depending on the underlying arrangement, the compensation may be accounted for as a contract price modification or variable consideration.

Cash received from the OEM should be presented within operating cash flow under "cash received from sales of goods and rendering of services."

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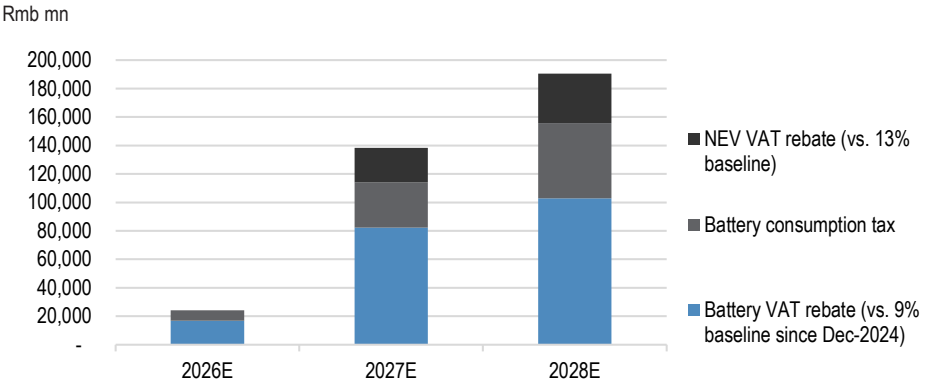
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How large is the tax burden and who ultimately pays?

A >RMB130bn incremental tax burden needs to be absorbed across the value chain in 2027E

We estimate that the combination of lower battery VAT export rebates, the new battery consumption tax and lower NEV export VAT rebates could create more than RMB130bn of incremental tax burden across the EV and ESS value chain in 2027E, rising to over RMB190bn in 2028E. This represents a sizeable new cost pool that ultimately needs to be absorbed somewhere along the value chain, unless participants are able to pass the burden downstream to end customers through higher pricing. While the ultimate allocation remains uncertain, we believe the magnitude of the tax burden reinforces our view that profitability pressure could broaden beyond battery makers to OEMs, ESS integrators and other upstream suppliers, potentially driving further price negotiations and profit-pool rebalancing across the value chain.

Figure 9: Total new tax burden on EV & ESS value chain



Source: J.P. Morgan estimates

Indirect exports face double tax pressure

Tax impact varies significantly by route-to-market, with indirect exports facing double tax pressure. Domestic battery sales are primarily exposed to the new battery consumption tax, while direct battery exports are more directly affected by the phase-out of battery VAT export rebates. Indirect exports could face pressure at both levels of the value chain: for EVs, batteries sold domestically to Chinese OEMs are subject to battery consumption tax, while the subsequently exported NEV faces a reduction in VAT export rebates from 13% to 9%; for ESS, batteries sold domestically to an integrator are similarly subject to consumption tax, while a subsequently exported DC-side system classified under battery-related customs codes may also lose its VAT export rebate. This potential "double tax pressure" does not necessarily mean the battery maker ultimately bears both taxes, but raises the risk of additional cost-sharing negotiations as OEMs and ESS integrators seek to protect their own margins.

ESS tax exposure also depends on product configuration and customs classification. DC-side ESS exports, where the exported product remains classified under the battery-related HS code (8504.40.90), is exposed to the battery VAT rebate

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reduction, whereas a more fully integrated AC-side system incorporating PCS/inverters may fall under a different customs classification and therefore be exempted from the VAT changes. This makes product configuration and route-to-market increasingly relevant to the ultimate earnings impact across the ESS supply chain.

Table 12: China battery tax impact varies by route-to-market and ESS product configuration

End market	Sales / export route	Illustrative example	Battery consumption tax	VAT export rebate impact	Key earnings implication
EV	**Domestic battery sale → domestic EV**	CATL sells EV cells/packs to a Chinese OEM → EV sold in China	**Yes:** 2% from Sep-26 → 4% from Sep-27.	No impact	Consumption-tax headwind for battery maker, subject to pass-through to OEM
EV	**Direct battery export**	CATL directly exports EV battery cells/packs to overseas OEM	No impact	Batter VAT rebate: 6% rebate during Apr-Dec 2026 → 0% from Jan-27.	VAT rebate loss headwind for battery maker, subject to pass-through to OEM
EV	**Indirect battery export via EV**	CATL sells EV battery to Chery in China → Chery manufactures EV → exports overseas	**Yes on battery**: 2% from Sep-26 → 4% from Sep-27.	Battery: no impact. NEV export rebate falls from 13% → 9% from Apr-27.	**Potential double pressure across value chain:** battery consumption tax + lower EV VAT export rebate
ESS	**Domestic battery sale → domestic ESS integrator**	CALB sells battery cells to Sungrow → integrated into ESS → sold in China	**Yes on battery:** 2% from Sep-26 → 4% from Sep-27; final ESS system itself is not a consumption-taxable battery product	No impact	Consumption tax on ESS battery pack, but no additional battery consumption tax on the completed ESS system
ESS	**Direct export of ESS battery cell / pack / rack**	CATL directly exports ESS battery cells or packs (HS code 8507.60.00)	No impact	Battery: 6% rebate during Apr-Dec 2026 → 0% from Jan-27.	VAT rebate loss is the major direct headwind; subject to pass-through to customers
ESS	**Direct export of DC-side ESS / battery system**	DC-side ESS system may include BMS, thermal management, fire/safety system (HS code 8507.60.00)	No impact	Battery: 6% rebate during Apr-Dec 2026 → 0% from Jan-27.	Meaningful VAT rebate headwind: higher DC-side system ASP vs. cells alone could translate into larger Rmb/Wh impact
ESS	**Direct export of AC-side integrated ESS system**	AC-side ESS system includes DC-side + PCS/inverter (HS Code 8504.40.90)	No impact	No battery-specific VAT rebate impact if the exported product is classified under 8504.40.90 rather than 8507.60.00	Potentially more favorable VAT treatment vs. 8507.60.00 DC-side exports; product configuration and customs classification matter
ESS	**Indirect battery export via ESS integrator**	CALB sells battery cells to Sungrow in China → Sungrow integrates into ESS → exports system overseas	**Yes on battery:** 2% from Sep-26 → 4% from Sep-27	Depends on the exported product. DC-side export (8507.60.00): VAT rebate: 6% rebate during Apr-Dec 2026 → 0% from Jan-27. AC-side export (8504.40.90): not automatically captured by battery-specific rebate change	**DC-side could face double pressure:** embedded battery consumption tax + lower VAT export rebate; AC-side tax exposure could be lower depending on classification

Source: J.P. Morgan. Note: For direct exports, self-produced qualifying battery products are exempt from consumption tax; where tax-paid batteries are purchased or received after commissioned processing and then directly exported, consumption tax paid at the preceding stage may be refunded. HS 8507.60.00 for DC-side ESS and HS 8504.40.90 for inverter-inclusive AC-side ESS are classification assumptions based on product configuration and should be confirmed against the actual customs declaration.

OEMs' own tax headwinds (VAT rebate) could add to upstream pricing pressure

EV OEMs will face an additional cost headwind from the reduction in NEV export VAT rebates from 13% to 9% starting in April 2027. While some OEMs have indicated an intention to share part of the incremental burden with upstream suppliers, including battery makers, we do not take this as our base case. Nevertheless, we believe this reinforces the increasingly challenging profitability environment across the EV value chain, as OEMs facing additional cost pressure are likely to seek further cost reductions from suppliers. We therefore provide a scenario analysis below illustrating the potential battery ASP pressure under different levels of OEM pass-through.

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Table 13: Potential impact from EV VAT rebate if OEM pushes for a pass-through

OEM pass-through to battery	Tax burden passed to battery / car	Blended battery ASP pressure (RMB/Wh)
10%	RMB510	**0.012**
25%	RMB1,276	**0.030**
50%	RMB2,552	**0.060**
75%	RMB3,828	**0.090**
100%	RMB5,104	**0.120**

Source: J.P. Morgan estimates

Potential weight-based vehicle consumption tax represents further policy risk

Potential vehicle weight-based tax could add another layer of pressure for domestic NEV sales. Beyond the tax changes already announced, we see a potential additional policy risk from the introduction of a vehicle weight-based consumption tax for NEVs sold domestically in China. According to a recent news report, industry participants indicated that regulators and think tanks have begun studying a potential reform linking automobile consumption taxation to vehicle curb weight, partly reflecting concerns over the rising weight of NEVs and the associated energy consumption, resource use and road infrastructure costs. Conceptually, this could mirror the existing ICE consumption-tax framework, which applies higher tax rates to vehicles with larger engine displacement, with vehicle weight potentially serving as the equivalent metric for NEVs.

However, no formal policy, tax rate or implementation timetable has been announced, and one expert involved in related policy discussions noted that there is currently no known specific tax plan for EVs. We therefore do not incorporate this potential tax into our >RMB130bn/190bn industry tax-burden estimates for 2027/28E. Nevertheless, if implemented, a weight-based consumption tax could represent an additional headwind for domestic NEV sales, particularly for large SUVs and vehicles with larger battery packs, adding another potential source of cost pressure across the EV value chain.

Tax burden sharing: What are OEMs and ESS integrators saying?

Comments from OEMs and ESS integrators reinforce our view that the incremental tax burden is likely to be shared across the value chain rather than borne entirely by downstream customers.

- **Among automakers**, the focus is on mitigation through supplier negotiations, localization and selective pricing: GWM is negotiating cost sharing with battery suppliers, suggesting only partial battery supplier-to-OEM pass-through, while Chery expects the export VAT rebate burden to be distributed across distributors, upstream suppliers, the company and ultimately customers. BYD and Geely, meanwhile, emphasize overseas localization and supply-chain optimization as longer-term offsets.
- **ESS integrators** appear similarly reluctant to absorb the full tax burden. Sungrow has been pursuing customer price increases, although realized increases remain subject to customer acceptance and competition, while Deye expects lower battery

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procurement costs to absorb much of the VAT rebate loss rather than fully passing the cost downstream.

Taken together with battery makers' comments, this points to a multi-way negotiation across battery suppliers, OEMs/integrators and end customers, rather than a straightforward full pass-through at any single point in the chain. We believe the eventual burden allocation will depend on relative bargaining power, competitive intensity, product mix and the availability of offsets such as lower battery/material costs and overseas localization. The key risk for battery makers is that downstream customers are simultaneously seeking to pass tax costs upstream just as battery producers are trying to pass them downstream.

Table 14: OEMs' comments on consumption tax and VAT rebate reduction

Auto OEMs	Comments on battery consumption tax	Comments on export VAT rebates	Comments on battery costs
BYD	**The QoQ decline in 3Q gross margin mainly reflected battery consumption tax,** higher costs and product promotions. 3Q battery shipments was over 30GWh, translating to full-quarter consumption tax impact of around Rmb500-600mn. Shipments could increase QoQ in 4Q, potentially increasing the consumption tax impact. Based on annual shipments of 200GWh, revenue of Rmb100bn and a 4% tax rate, the estimated annual impact is around Rmb3-4bn.	**Management acknowledges pressure from lower export VAT rebates and plans to mitigate it through overseas production and partial cost pass-through.** Overseas plants are expected to produce 600–700k vehicles next year, equivalent to 1/4 of total exports. Passing some costs to customers will depend on competition. Management believes localization will become more advantageous following the policy changes, and overseas competition could ease if the changes constrain peers' low-price strategies.	**Lower raw-material prices should support costs, although tax and commodity-price uncertainty remain headwinds.** Falling lithium carbonate and other non-ferrous metal prices are favorable for costs. Blade battery capacity supporting flash charging continues to ramp up, with bottlenecks expected to be resolved in January–February next year. BYD prioritizes internal supply while remaining open to external sales.
Chery Auto		**Management plans to distribute the additional costs among distributors, upstream suppliers, the company, and overseas customers.** It said the policy change, if implemented on April 1, would raise costs directly unless selling prices were adjusted. The proposed mitigation is to share the burden: dealers would absorb part, the company or upstream suppliers—such as battery suppliers—would bear part, and some costs would be passed on to consumers. However, passing costs through is expected to take time. Raising prices on existing models would be difficult, so pricing improvements are more likely to come from stronger branding and new models. Chery also plans to accelerate localization in overseas markets.	
Geely Auto		**Expects near-term pricing adjustments in the industry, with localization becoming increasingly important.** Management views the gradual withdrawal of rebates as an industry-wide change that could favor companies with stronger product and operating capabilities. It cautioned against assessing the impact solely through a static financial calculation. Lower rebates, overseas tariffs and quota restrictions would encourage local production. However, European manufacturing costs are materially higher than in China; **Geely aims to mitigate this through supply-chain coordination, scale efficiencies and existing plants with largely depreciated assets.**	
GWM	**Negotiating cost-sharing with battery suppliers, indicating only partial supplier-to-OEM tax pass-through.** Note: 85% of Great Wall's battery supply comes from Svolt, which is held by the same parent group and founder.	**A diversified export powertrain mix should limit exposure, with localization providing a longer-term solution.** Management considers the potential 4ppt reduction in export VAT rebates on certain powertrains from April 2027 manageable, given GWM's mix of ICE, HEV and PHEV exports and its sizeable ICE share. Overseas production, KD partnerships and localized production, supply and sales operations are intended to reduce policy exposure.	
Changan Auto			Chip, battery and other raw-material costs had a combined impact of approximately Rmb350mn in 3Q. Management said raw-material prices had started to decline and expects costs to ease next year relative to this year's high base.

Source: Company, J.P. Morgan

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Table 15: ESS integrators' comments on consumption tax and VAT rebate reduction

ESS Integrators	Comments on battery consumption tax	Comments on export VAT rebates	Comments on battery costs
Sungrow	No standalone financial impact or cost-sharing arrangement with cell suppliers was disclosed. The battery consumption tax was not a major driver of the quarter's ESS margin decline.	**Export VAT rebate changes contributed to 3Q ESS margin pressure; cost pass-through remains incomplete.** Management cited VAT rebate changes alongside lithium carbonate costs, freight and FX as margin headwinds for 3Q26. ESS GPM fell to 21% in 3Q from 34% in 2Q, but the VAT rebate impact was not separately quantified. **Sungrow issued a price-increase notice in September targeting approximately 10%, with actual increases subject to customer acceptance and competition.** This was an overall cost-pass-through initiative, not a price increase attributed solely to tax changes.	**Battery cell procurement prices adjust to lithium carbonate prices with an approximately one-month lag, but margin recognition takes longer.** Revenue recognized in 3Q26 mainly related to shipments made in 1Q and 2Q, when lithium carbonate prices were higher; some 1H26 shipments will be recognized in 4Q. Management said projects currently being shipped are more profitable than those shipped 3–6 months earlier. Other raw-material cost pressures remain, with procurement scale, technical cost reductions and product optimization used to mitigate them.
Deye		**Expects cell-cost savings to absorb much of the VAT rebate loss, rather than passing the full cost to customers.** 6% export VAT rebate on battery systems would be removed from January 1, 2027. Some price increases may be possible, but full pass-through to distributors and consumers is unlikely. It indicated that **further upstream price reductions could largely offset the rebate loss**, limiting the need for substantial customer price increases. Battery-pack GPM could nevertheless adjust in 1Q27, with the magnitude uncertain. Some customers are stocking up ahead of year-end, but management does not expect a significant export rush.	**Lower battery cell procurement costs are expected mainly to offset the loss of export VAT rebates, rather than expand margins.** Procurement prices follow lithium carbonate prices with an approximately one-month lag. Management expects 4Q battery-pack GPM to remain broadly stable qoq. Even if raw-material prices fall further, it does not expect a material margin improvement in 1Q or 2Q27, as the savings would mainly absorb the rebate loss.

Source: Company, J.P. Morgan

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Appendix: What do financial statements tell us about the tax impact?

Consumption tax is visible through the income statement, although not separately disclosed

The consumption-tax impact can be observed through the step-up in "taxes and surcharges" in battery makers' income statements (operating expense item), although companies do not separately disclose the charge. We estimate the 3Q26 consumption-tax impact by using each company's 2025-1H26 taxes-and-surcharges-to-revenue ratio as a pre-policy run-rate and attributing the incremental 3Q26 charge above this normalized level primarily to the new battery tax. On this basis, we compare the implied tax burden against both total and domestic revenue, with 3Q26 domestic revenue estimated using the reported 1H26 domestic sales mix. While the methodology is approximate given other items are also included under taxes and surcharges, the material step-up in 3Q26 provides a useful indication of the magnitude of the consumption-tax impact.

Table 16: Battery makers' consumption tax impact in 3Q26 (P&L)

	3Q26 reported taxes & surcharges	1H26 avg. quarterly taxes & surcharges (reference)	JPMe consumption tax charges in 3Q26	As % of 3Q26 revenue	As % of 3Q26 domestic revenue
CATL	2,214	662	1,267	0.8%	1.1%
EVE	133	85	34	0.1%	0.2%
Gotion	237	89	119	0.7%	1.0%
Sunwoda	220	117	87	0.3%	0.5%
Farasis	25	8	16	0.7%	2.3%
Great Power	46	24	11	0.2%	0.2%
CALB	205	80	77	0.4%	0.4%
BYD	3,040	2,131	303	0.1%	0.3%

Source: Company, J.P. Morgan estimates. Note: JPMe 3Q26 consumption tax is estimated based on the increase in taxes and surcharges as a percentage of revenue versus the 2025-1H26 historical run-rate. 3Q26 domestic revenue is estimated using the reported 1H26 domestic revenue mix. CALB based on its A-shr reporting.

VAT rebate changes can be observed in cash flow, but with a timing lag

Unlike consumption tax, the cash impact of VAT export rebates can be observed through tax rebates received in operating cash flow. However, the timing of cash receipts does not necessarily match the underlying export sales, as VAT rebates are typically received with a lag of around one quarter and, in some cases, longer, depending on filing and processing timing. We therefore compare tax rebates received not only with same-quarter overseas revenue, but also with prior-quarter overseas revenue to better assess the underlying rebate trend. The decline in rebates received by several battery makers in 3Q26 is directionally consistent with the reduction in battery export VAT rebates, but we would not interpret the sequential change as a clean measure of the P&L impact, given differences in collection timing, export mix and historical rebate receipts. The cash-flow data should therefore be viewed as a useful directional cross-check rather than a precise quarterly measure of the VAT rebate impact.

For example, CATL's tax rebates received fell to Rmb1.1bn in 3Q26 from c.Rmb2.0bn per quarter in 1H26, while Sunwoda and CALB also saw meaningful sequential declines, although receipt timing makes it difficult to attribute the full change to the lower VAT rebate rate alone.

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Table 17: Battery makers' VAT rebate changes (cashflow statement)

Operating cashflow - tax rebate received (Rmb mn)

	2023	2024	2025	1Q26	2Q26	3Q26	3Q changes vs. 1H26 avg
CATL	12,740	10,506	7,688	2,070	1,942	1,086	(920)
EVE	1,598	1,119	776	543	265	402	(2)
Gotion	751	1,372	1,046	348	440	409	15
Sunwoda	991	928	1,091	316	351	186	(147)
Farasis	1,040	648	758	83	311	126	(71)
Great Power	127	85	206	41	33	63	26
CALB	2,502	1,410	557	206	359	88	(195)
BYD	2,516	3,606	5,023	5,766	7,892	6,333	(496)

Source: Company, J.P. Morgan calculations. Note: CALB based on its A-shr reporting.

Table 18: Battery makers' VAT rebate received in cashflow as % of reported overseas revenue

	VAT rebate received in CF as % of same quarter overseas revenue						VAT rebate received in CF as % of prior quarter overseas revenue				
	2023	2024	2025	1Q26	2Q26	3Q26	2023	2024	2025	1Q26	2Q26
CATL	10%	10%	6%	5%	4%	2%	10%	8%	6%	5%	2%
EVE	12%	9%	5%	11%	4%	6%	13%	8%	7%	5%	6%
Gotion	12%	12%	10%	9%	8%	7%	14%	12%	12%	11%	7%
Sunwoda	5%	4%	4%	6%	5%	2%	5%	6%	3%	7%	3%
Farasis	11%	7%	11%	8%	25%	9%	12%	9%	7%	29%	10%
Great Power	13%	8%	11%	6%	3%	6%	12%	9%	12%	5%	7%
CALB	383%	220%	61%	40%	54%	11%	0%	137%	54%	69%	13%
BYD	16%	10%	8%	7%	8%	5%	10%	6%	6%	10%	6%

Source: Company, J.P. Morgan calculations. Note: 3Q26 domestic revenue is estimated using the reported 1H26 domestic revenue mix. CALB based on its A-shr reporting.

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Battery Makers' Financial Comparison

Sales volume and targets

Table 19: Battery makers' EV/ESS battery shipments (Gwh)

Gwh	2023	2024	2025	9M26	y/y	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	y/y	q/q
Shipments (EV+ESS)														
CATL	390	475	661	696	58%	125	149	166	221	202	233	261	57%	12%
Gotion	45	63	100	106	67%	18	22	23	37	28	37	41	76%	9%
EVE	54	81	121	135	62%	23	27	33	38	35	46	53	62%	16%
CALB	40	70	116	109	43%	20	25	31	40	28	37	44	42%	19%
Sunwoda	16	25	42	53	103%	7	8	11	16	12	16	25	123%	50%
Hithium	18	34												
REPT	19	44	83	67						19	24	24		0%
BYD	151	195	286			53	82	69	82	60				
Shipments (ESS battery)														
CATL	69	93	121	174	100%	22	30	35	34	51	58	65	86%	12%
Gotion	15	22	31	24	9%	8	7	7	9	8	8	8	14%	0%
EVE	26	50	71	76	56%	13	16	20	23	20	24	32	59%	30%
CALB	8	25	50	46				11	18	13	16	17	55%	6%
Sunwoda	5	5	12	24	242%	3	1	3	5	6	7	11	267%	59%
Hithium	18	34												
REPT		23	49											
BYD (JPMe)	27	27	57											
Shipments (EV battery)														
CATL	321	381	540	523	48%	103	119	131	187	152	175	196	50%	12%
Gotion	30	41	69	82	99%	10	15	16	28	20	29	33	103%	12%
EVE	28	30	50	57	69%	10	11	13	16	14	22	22	67%	0%
CALB	32	45	66	63				20	22	15	21	27	35%	29%
Sunwoda	11	21	30	29	45%	4	8	8	10	6	9	14	69%	43%
Hithium	0	0												
REPT		21	34											
BYD (JPMe)	124	168	229											
ESS shipments mix %														
CATL	18%	20%	18%	25%		18%	20%	21%	15%	25%	25%	25%		
Gotion	33%	35%	31%	23%		44%	31%	30%	24%	29%	22%	20%		
EVE	48%	62%	59%	57%		57%	59%	60%	59%	57%	53%	59%		
CALB	20%	36%	43%	42%				35%	45%	46%	43%	39%		
Sunwoda	29%	18%	29%	45%				27%	33%	50%	42%	45%		
Hithium	100%	100%												
REPT		52%	59%											
BYD (JPMe)	18%	14%	20%											

Source: Company data.

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Table 20: Battery makers' shipment targets in 2026

EV+ESS shipments (Gwh)	2024	2025 Actual	y/y	2025 initial target	2026 sales target	y/y	2027 target	y/y
CATL	475	**661** -ESS 21 - EV 540	39%	25-35% y/y (based on production plan given to suppliers)	Capacity: >400Gwh increase	>30% (better than industry growth)		**20-30%**
Gotion	68	**100** - ESS 31 - EV 69	47%	**100** - ESS 30 - EV 70	**150** - ESS 50 - EV 100	50%	**220** -ESS 60 - EV 160	**47%** 20% 60%
EVE	81	**121** - ESS 70 - EV 50	50%	**130** - ESS 80 - EV 50	**200+** - ESS 110 - EV 90	65%	**355** - ESS 220 - EV 135	**78%** 100% 50%
CALB	70	**116** - ESS 50 - EV 66	66%	**110** - ESS 40-45 - EV 65-70	**180-200** - ESS 70-80 - EV 110-135	55-72%	**400**	**122%**
Rept	44	**83** - ESS 49 - EV 34	89%	**n/a**	**105** - ESS 63 - EV 42	27%	**140**	**33%**
Sunwoda	25	**42** - ESS 12 - EV 30	68%	**35-45** - ESS 10 - EV 25-35	**80-90** - ESS 30+ - EV 50+	100-129%	**120+**	**>50%**

Source: Company data, J.P. Morgan.

ASP

Table 21: Battery makers' power battery ASP comparison (Rmb/wh)

	2022	2023	2024	2025	y/y	1H23	2H23	1H24	2H24	1H25	2H25	1H26	y/y	h/h
EV+ESS														
CATL	0.97	0.89	0.65	0.57	-12%	0.96	0.81	0.69	0.63	0.58	0.57	0.56	-3%	-0.3%
Gotion	0.77	0.67	0.53	0.43	-19%	0.73	0.65	0.59	0.49	0.46	0.33	0.40	-12%	23%
EVE	0.87	0.74	0.47	0.42	-12%	0.89	0.65	0.49	0.44	0.46	0.35	0.40	-12%	15%
CALB	0.89	0.68	0.4	0.38	-3%	0.77	0.61	0.5	0.34	0.36	0.32	0.41	14%	28%
Sunwoda	0.85	0.75	0.6	0.45	-25%	n/a	n/a	0.75	0.53	0.51	0.42	0.50	-2%	19%
Hithium	0.8	0.56	0.38	n/a		n/a	n/a	n/a	n/a	n/a	n/a			
REPT	1.18	0.58	0.34	0.28	-15%	0.72	0.49	0.56	0.26	0.28	0.29	0.34	21%	17%
Svolt	1.04	0.87	0.62	n/a		n/a	n/a	n/a	n/a	n/a	n/a			
EV battery														
CATL	0.98	0.89	0.66	0.59	-12%	1	0.8	0.71	0.63	0.59	0.58	0.59	0%	1%
Gotion	0.77	0.77	0.63	0.49	-22%	0.74	0.8	0.69	0.59	0.56	0.45	0.46	-18%	2%
EVE	0.87	0.85	0.63	0.52	-18%	0.93	0.79	0.66	0.66	0.59	0.46	0.48	-19%	6%
CALB	0.9	0.7	0.43	0.46	6%	0.8	0.62	0.57	0.35	0.44	0.34	0.46	4%	35%
Sunwoda	n/a	n/a	n/a	n/a		n/a	n/a	n/a	n/a	n/a	n/a	n/a		
Hithium	n/a	n/a	n/a	n/a		n/a	n/a	n/a	n/a	n/a	n/a			
REPT	n/a	n/a	n/a	0.29		n/a	n/a	n/a	n/a	0.30	0.29	0.34		
Svolt	n/a	n/a	n/a	n/a		n/a	n/a	n/a	n/a	n/a	n/a			
ESS battery														
CATL	0.96	0.87	0.61	0.52	-16%	0.87	0.86	0.63	0.6	0.54	0.49	0.49	-9%	-1%
Gotion	0.78	0.46	0.36	0.29	-18%	0.72	0.3	0.43	0.29	0.30	0.28	0.23	-23%	-18%
EVE	0.94	0.62	0.38	0.34	-9%	0.79	0.54	0.37	0.34	0.36	0.33	0.34	-5%	2%
CALB	0.75	0.59	0.33	0.28	-14%	0.64	0.57	0.34	0.32	0.27	0.29	0.36	35%	26%
Sunwoda	n/a	n/a	n/a	n/a		n/a	n/a	n/a	n/a	n/a	n/a	n/a		
Hithium	0.8	0.56	0.38	n/a		n/a	n/a	n/a	n/a	n/a	n/a			
REPT	n/a	n/a	n/a	0.28		n/a	n/a	n/a	n/a	0.27	0.28	0.34	26%	21%
Svolt	n/a	n/a	n/a	n/a		n/a	n/a	n/a	n/a	n/a	n/a			

Source: J.P. Morgan calculations based on company data

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GPM and GP/unit

Table 22: Battery makers' company-level GPM

	2024	2025	1H25	2H25	1H26	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26
CATL	24%	26%	25%	27%	24%	24%	26%	26%	28%	25%	23%	21%
EVE	17%	16%	17%	15%	14%	17%	17%	14%	17%	14%	15%	15%
Gotion	18%	16%	16%	16%	16%	18%	16%	18%	15%	16%	15%	15%
Sunwoda	15%	14%	16%	12%	15%	17%	15%	18%	8%	18%	13%	13%
Rept	4%	11%	9%	13%	13%							
LGES	13%	18%	17%	19%	20%	16%	18%	25%	13%	19%	20%	24%
CALB – new accounting	16%	17%	18%	16%	17%	17%	14%	16%	15%	15%	16%	15%

Source: Company reports, J.P. Morgan. Note: CALB restated its financials and reclassified the government grants in AR. *All GPM are reported numbers post accounting changes – with warranty provisions included in COGS.

Table 23: Battery makers' EV/ESS battery GPM

	2024	2025	1H25	2H25	1H26
EV battery					
CATL	23.9%	23.8%	22.4%	24.8%	20.6%
EVE	14.2%	15.5%	17.6%	13.5%	16.2%
Gotion	15.1%	14.4%	14.2%	14.5%	14.0%
Sunwoda	8.8%	4.9%	9.8%	1.6%	18.4%
Rept	2.5%	11.9%	n/a	n/a	n/a
ESS battery					
CATL	26.8%	26.7%	25.5%	27.7%	24.0%
EVE	14.7%	12.3%	12.0%	12.5%	12.5%
Gotion	21.8%	20.8%	19.3%	21.9%	19.5%
Sunwoda	20.4%	23.3%	20.3%	25.7%	18.2%
Rept	5.4%	10.8%	n/a	n/a	n/a

Source: Company reports, J.P. Morgan. Note: CALB restated its financials and reclassified the government grants in AR. Note: 2024, 1H25 GPM are reported numbers post accounting changes–with warranty provisions included in COGS.

Table 24: Battery makers' power battery (EV+ESS) GP per unit (Rmb/wh)

	2022	2023	2024	2025	1H23	2H23	1H24	2H24	1H25	2H25	1H26
GP per unit (COGS include warranty provisions)											
CATL	0.14	0.16	0.16	0.14	0.17	0.15	0.16	0.16	0.13	0.14	0.12
Gotion	0.12	0.1	0.09	0.07	0.09	0.1	0.09	0.09	0.07	0.07	0.06
EVE	0.12	0.11	0.07	0.06	0.13	0.1	0.06	0.07	0.07	0.05	0.06
CALB - old acct policy	0.07	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
CALB - new acct policy	0.09	0.09	0.06	0.06	0.07	0.1	0.08	0.05	0.06	0.06	0.07
Sunwoda	-0.13	-0.08	0.07	0.02	n/a	n/a	0.1	0.05	0.05	0.01	0.09
Hithium	0.1	0.07	0.07	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
REPT	0.1	0.02	0.02	0.03	0.03	0.002	0.03	0.01	0.02	0.04	0.04

Source: J.P. Morgan calculations based on company data. Note: CALB restated its financials and reclassified the government grants in AR.

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Table 25: Battery makers' power battery EV/ESS GP per unit (Rmb/wh)

	2024	2025	1H25	2H25	1H26
EV battery GP per unit					
CATL	0.16	0.14	0.13	0.14	0.12
Gotion	0.10	0.07	0.08	0.07	0.06
EVE	0.09	0.08	0.10	0.06	0.08
REPT	n/a	0.04	n/a	n/a	n/a
ESS battery GP per unit					
CATL	0.16	0.14	0.14	0.14	0.12
Gotion	0.08	0.06	0.06	0.06	0.04
EVE	0.06	0.04	0.04	0.04	0.04
REPT	n/a	0.03	n/a	n/a	n/a

Source: Company reports, J.P. Morgan.

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COGS breakdown

Figure 10: Battery makers' COGS breakdown analysis

Note: From 2024, warranty expenses are included in the COGS (previously in marketing expense)

	CATL	CALB	EVE	Gotion
	2021	**2021**	**2021**	**2021**
Direct material	84%	84%	83%	86%
Manufacturing	16%	16%	17%	14%
Depreciation	5%	6%	4%	6%
Labor	n/a	4%	5%	4%
Others	11%	6%	8%	4%
	2022	**2022**	**2022**	**2022**
Direct material	88%	n/a	89%	89%
Manufacturing	12%	n/a	11%	11%
Depreciation	4%	n/a	2%	3%
Labor	n/a	n/a	n/a	3%
Others	8%	n/a	9%	4%
	2023	**2023**	**2023**	**2023**
Direct material	84%	n/a	88%	86%
Manufacturing	16%	n/a	12%	14%
Depreciation	6%	n/a	2%	5%
Labor	n/a	n/a	n/a	3%
Others	10%	n/a	10%	6%
	2024	**2024**	**2024**	**2024**
Direct material	74%	n/a	85%	80%
Manufacturing	26%	n/a	15%	20%
Depreciation	7%	n/a	5%	6%
Labor	n/a	n/a	n/a	n/a
Others	19%	n/a	11%	15%
	2025	**2025**	**2025**	**2025**
Direct material	71%	n/a	82%	77%
Manufacturing	29%	n/a	18%	23%
Depreciation	7%	n/a	5%	3%
Labor	n/a	n/a	n/a	n/a
Others	22%	n/a	13%	20%

Source: Company reports and J.P. Morgan. CATL data based on China GAAP.

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Figure 11: Battery makers' unit COGS breakdown analysis (power battery unit COGS) (Rmb/wh)

Note: From 2024, warranty expenses are included in the COGS (previously in marketing expense). Direct materials change in 2024 compares changes under the same policy (assuming warranty provisions not included in COGS).

	CATL	CALB (before acct. changes)	CALB (post acct. changes)	EVE	Gotion
	2021	2021	2021	2021	2021
Total unit COGS	**0.61**	**0.62**	**0.60**	**0.71**	**0.51**
Direct material	0.51	0.52	0.51	0.59	0.44
Manufacturing	0.10	0.10	0.10	0.12	0.07
Depreciation	0.03	0.04	0.04	0.03	0.03
Others	0.07	0.06	0.06	0.09	0.04
	2022	2022	2022	2022	2022
Total unit COGS	**0.81**	**0.82**	**0.79**	**0.75**	**0.64**
Direct material	0.71	0.72	0.70	0.67	0.57
Manufacturing	0.10	0.10	0.10	0.09	0.07
Depreciation	0.03	0.04	0.04	0.02	0.02
Others	0.07	0.06	0.06	0.07	0.05
Unit COGS increase in 2022	0.20	0.20	0.19	0.04	0.14
Unit direct material increase in 2022	0.20	0.20	0.19	0.08	0.14
	2023	2023	2023	2023	2023
Total unit COGS	**0.69**	n/a	**0.59**	**0.63**	**0.58**
Direct material	0.58	n/a	n/a	0.55	0.50
Manufacturing	0.11	n/a	n/a	0.08	0.08
Depreciation	0.04	n/a	n/a	0.02	0.03
Others	0.07	n/a	n/a	0.06	0.05
Unit COGS changes in 2023	-0.12	n/a	-0.2	-0.12	-0.06
Unit direct material changes in 2023	-0.13	n/a	n/a	-0.12	-0.07
	2024	2024	2024	2024	2024
Total unit COGS	**0.47**	n/a	**0.33**	**0.40**	**0.40**
Direct material	0.35	n/a	n/a	0.34	0.32
Manufacturing	0.12	n/a	n/a	0.06	0.08
Depreciation	0.01	n/a	n/a	0.02	0.02
Others	0.11	n/a	n/a	0.04	0.06
Unit COGS changes in 2024	-0.22	n/a	-0.26	-0.23	-0.18
Unit direct material changes in 2024	-0.20	n/a	n/a	-0.21	-0.17
	2025	2025	2025	2025	2025
Total unit COGS	**0.43**	n/a	**0.32**	**0.36**	**0.36**
Direct material	0.31	n/a	n/a	0.30	0.28
Manufacturing	0.12	n/a	n/a	0.06	0.08
Depreciation	0.03	n/a	n/a	0.02	0.01
Others	0.09	n/a	n/a	0.05	0.07
Unit COGS changes in 2025	-0.04	n/a	-0.01	-0.04	-0.04
Unit direct material changes in 2025	-0.04	n/a	n/a	-0.04	-0.05

Source: Company reports and J.P. Morgan estimates. Note: CALB FY22 COGS breakdown based on JPMe. CATL data based on China GAAP.

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Net profit per unit

Figure 12: Battery makers' NP per unit (Rmb/wh) – this includes gov't subsidy

	2022	2023	2024	2025	1H23	2H23	1H24	2H24	1H25	2H25	1H26
CATL	0.11	0.11	0.11	0.11	0.12	0.11	0.11	0.10	0.11	0.11	0.10
Gotion	0.01	0.02	0.02	0.02	0.01	0.03	0.01	0.03	0.01	0.03	0.02
EVE – power battery	0.06	0.05	0.03	0.02	0.07	0.04	0.03	0.03	0.02	0.03	0.02
CALB (new acct policy)	0.03	0.01	0.01	0.01	0.02	0.23	0.02	0.01	0.01	0.01	0.01
Sunwoda – power battery	-0.07	-0.09	-0.07	-0.03			-0.10	-0.05	-0.05	-0.01	-0.01
Hithium	-0.41	-0.11	0.01								
Rept	-0.03	-0.08	-0.03	0.01	-0.10	-0.07	-0.04	-0.03	-0.002	0.01	0.02
BYD (car+battery)	0.17	0.18	0.19	0.11	0.17	0.19	0.17	0.20	0.11	0.11	
LGES	0.03	0.03	-0.03	-0.03							
SDI	0.36	0.27	0.07	-0.09							

Source: Company reports, J.P. Morgan. Note: CATL numbers based on China GAAP. EVE's net profit per unit excludes consumer battery and Smoore. EVE calculation adds back stock incentives. Sunwoda net profit is power battery segment profit. CALB restated its financials and reclassified the government grants in AR.

Figure 13: Battery makers' quarterly NP per unit (Rmb/wh) – this includes gov't subsidy

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26
CATL	0.11	0.11	0.10	0.10	0.11	0.11	0.11	0.10	0.10	0.10	0.08
Gotion	0.01	0.01	0.01	0.03	0.01	0.01	0.09	-0.00	0.00	0.04	-0.01
EVE – power battery	0.05	0.02	0.03	0.03	0.03	0.02	0.03	0.02	0.03	0.03	0.03
Sunwoda – power battery							-0.04	-	-	-0.01	-0.01
Farasis	-0.06	0.01	-0.04	0.01	-0.05	-0.00	-0.07	-0.10	-0.06	-0.09	-0.06
BYD (car+battery)	0.14	0.20	0.19	0.21	0.17	0.07	0.10	0.11	0.07		
CALB (A-share)					0.01	0.01	0.01	0.02	0.01	0.02	0.01

Source: Company reports, J.P. Morgan. Note: CATL numbers based on China GAAP. EVE's net profit per unit excludes consumer battery and Smoore. EVE calculation adds back stock incentives. Sunwoda net profit is power battery segment profit. CALB restated its financials and reclassified the government grants in AR.

Figure 14: Battery makers' net profit per unit excluding one-offs and all gov't grants (Rmb/wh) - annual/semi-annual

	2022	2023	2024	2025	1H23	2H23	1H24	2H24	1H25	2H25	1H26
CATL	0.10	0.10	0.09	0.10	0.10	0.10	0.10	0.09	0.10	0.10	0.09
Gotion	-0.02	0.002	0.004	0.004	0.002	0.002	0.002	0.006	0.002	0.006	0.002
EVE – power battery	0.04	0.03	0.02	0.02	0.03	0.02	0.02	0.02	0.01	0.02	0.02
CALB (old acct policy)	-0.04	-0.13	0.002	-0.002	-0.05	-0.21	-0.00004	0.00	-0.009	0.002	
CALB (new acct policy)	0.03	0.01	0.01	0.01	0.01	0.01	0.01	0.01	0.01	0.02	0.01
Sunwoda – power battery	-0.07	-0.10	-0.06	-0.04	n/a	n/a	-0.10	-0.06	-0.05	-0.03	-0.02
Hithium	-0.42	-0.12	-0.01								
Rept	-0.04	-0.08	-0.03	0.01	-0.10	-0.07	-0.04	-0.03	-0.002	0.01	0.02
BYD (car+battery)	0.16	0.15	0.12	0.06	0.14	0.15	0.11	0.13	0.06	0.05	
LGES	0.03	0.03	-0.03	-0.03							
SDI	0.36	0.27	0.07	-0.09							

Source: Company reports, J.P. Morgan. Note: CATL numbers based on China GAAP. EVE's net profit per unit excludes consumer battery and Smoore. EVE calculation adds back stock incentives. Sunwoda net profit is power battery segment profit. CALB restated its financials and reclassified the government grants in AR.

Figure 15: Battery makers' quarterly NP per unit excluding one-offs and all gov't grants (Rmb/wh) - quarterly

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26
CATL	0.10	0.10	0.10	0.09	0.09	0.10	0.10	0.09	0.09	0.09	0.07
Gotion	0.00	0.00	0.00	0.01	0.00	0.00	0.00	0.01	0.00	0.00	0.00
EVE – power battery	0.02	0.01	0.01	0.02	0.01	0.01	0.02	0.02	0.02	0.02	0.02
Sunwoda – power battery	n/a	n/a	n/a	n/a	n/a	n/a	-0.05	-0.01	-0.01	-0.02	-0.02
Farasis	-0.05	0.00	-0.05	-0.04	-0.04	-0.01	-0.08	-0.12	-0.06	-0.10	-0.06
BYD (car+battery)	0.08	0.12	0.12	0.14	0.09	0.03	0.04	0.07	0.07		

Source: Company reports, J.P. Morgan. Note: CATL numbers based on China GAAP. EVE's net profit per unit excludes consumer battery and Smoore. EVE calculation adds back stock incentives. Sunwoda net profit is power battery segment profit. CALB restated its financials and reclassified the government grants in AR.

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ROE comparison

Table 26: ROE comparison

		2023	2024	2025	1Q26	2Q26	3Q26
CATL	300750 CH	24%	25%	25%	26%	25%	25%
EVE	300014 CH	12%	11%	10%	11%	13%	14%
Gotion	002074 CH	4%	5%	9%	8%	12%	2%
Sunwoda	300207 CH	5%	6%	4%	3%	3%	1%
Great Power	300438 CH	1%	-5%	4%	11%	20%	21%
CALB	3931 HK	1%	2%	4%	5%	6%	6%
Rept	666 HK	-13%	-11%	6%	13%	13%	
LG Energy Solution	373220 KS	6%	-5%	-5%	-7%	-8%	-8%
Samsung SDI	006400 KS	11%	3%	-3%	-2%	0%	0%
SK Innovation	096770 KS	1%	-10%	-14%	-9%	-5%	-5%
Panasonic	6752 JP	8%	11%	8%	8%	7%	4%

Source: Company, Bloomberg Finance L.P., J.P. Morgan. CATL numbers based on China GAAP. Note: Rept 1Q/2Q26 = 1H26 reported number

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J.P.Morgan

Overweight

300750.SZ, 300750 CH
Price (04 Nov 26):Rmb252.88

▼**Price Target (Jun-27):Rmb300.00**
Prior (Jun-27):Rmb310.00

CATL - A

Cut PT to Rmb300

Earnings revisions: We trim CATL's net profit forecasts by 1%/4% in 2026E and 2027E, respectively, factoring in higher taxes and surcharges from the consumption tax's impact.

Asia Autos & EV Battery

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 27E (Rmb)	20.70	19.66	-5.0%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	14	25	27	22	69
Growth	32	31	19	21	12
Momentum	86	18	19	63	9
Quality	15	19	15	29	66
Low Vol	54	47	58	52	75

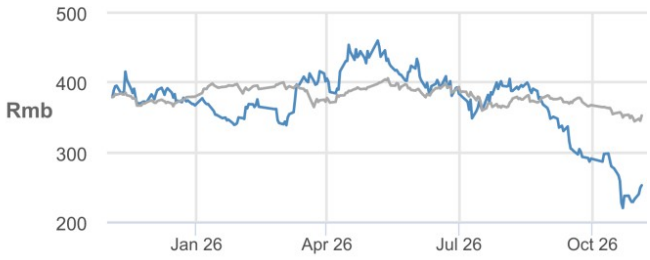
Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

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Price Performance



	YTD	1m	3m	12m
Abs	-31.1%	-13.1%	-36.0%	-33.3%
Rel	-24.0%	-9.1%	-32.4%	-26.4%

Company Data

Shares O/S (mn)	4,409
52-week range (Rmb)	468.75-216.51
Market cap ($ mn)	167,149
Exchange rate	6.67
Free float (%)	53.6%
3M ADV (mn)	37.22
3M ADV ($ mn)	1,682.5
Volatility (90 Day)	45
Index	SHASHR
BBG ANR (Buy | Hold | Sell)	43|2|0

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	423,702	618,623	716,370	818,443
Adj. EBITDA	114,353	136,644	146,768	162,387
Adj. EBIT	89,519	106,134	111,536	123,893
Adj. net income	72,201	84,832	89,143	99,003
Adj. EPS	16.14	18.33	19.66	21.83
BBG EPS	15.20	19.52	23.17	27.61
Cashflow from operations	133,220	70,048	110,249	123,545
FCFF	90,875	10,813	48,294	72,030
Margins and Growth				
Revenue Growth Y/Y (%)	17.0%	46.0%	15.8%	14.2%
EBITDA margin	27.0%	22.1%	20.5%	19.8%
EBITDA Growth Y/Y (%)	31.5%	19.5%	7.4%	10.6%
EBIT margin	21.1%	17.2%	15.6%	15.1%
Net margin	17.0%	13.7%	12.4%	12.1%
Adj. EPS growth	39.4%	13.6%	7.2%	11.1%
Ratios				
Adj. tax rate	14.2%	14.2%	14.2%	14.2%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	15.2%	15.8%	15.7%	16.3%
ROE	24.7%	23.4%	21.5%	21.2%
Valuation				
FCFF yield	8.0%	0.9%	4.2%	6.3%
Dividend yield	3.1%	3.6%	3.9%	4.3%
EV/Revenue	4.6	1.9	1.7	1.5
EV/EBITDA	17.1	8.5	8.1	7.3
Adj. P/E	15.7	13.8	12.9	11.6

Summary Investment Thesis and Valuation

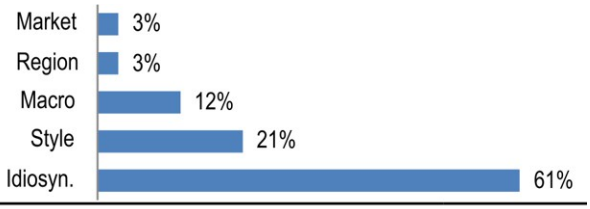
Investment Thesis

We like CATL's technology and leadership position in the global EV and ESS battery markets. Despite continued pricing pressure in the supply chain, CATL has demonstrated the ability to deliver resilient profits thanks to its technology leadership. We remain OW on CATL-A, our top pick in the supply chain.

Valuation

Our Jun-27 PT is Rmb300, based on a 15x 2027E P/E (unchanged). This is below CATL-A's historical trading average of 30x, given the lower growth profile vs. the industry's early stage.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.42	0.24
Region: China	0.12	0.22
Macro:		
US 10 Year Yield	-0.13	0.22
JP Morgan EMBI Global Spread	0.07	-0.17
Markit EM Composite PMI SA	-0.27	0.17
Quant Styles:		
Quality	0.47	0.37
Momentum	-0.24	-0.20
Value	0.21	0.13

P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or

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Investment Thesis, Valuation and Risks

CATL - A *(Overweight; Price Target: Rmb300.00)*

Investment Thesis
We like CATL's technology and leadership position in the global EV and ESS battery markets. Despite continued pricing pressure in the supply chain, CATL has demonstrated the ability to deliver resilient profits thanks to its technology leadership. We remain OW on CATL-A, our top pick in the supply chain.

Valuation
Our Jun-27 PT is Rmb300, based on a 15x 2027E P/E (unchanged). This is below CATL-A's historical trading average of 30x, given the lower growth profile vs. the industry's early stage.

Risks to Rating and Price Target
Downside risks include lower-than-expected sales volume or margins, and US-China geopolitical risks.

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CATL - A: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**362,013**	**423,702**	**618,623**	**716,370**	**818,443**
COGS	(273,519)	(312,383)	(482,442)	(560,003)	(639,082)
Gross profit	**88,494**	**111,319**	**136,181**	**156,367**	**179,361**
SG&A	(9,121)	(7,462)	(14,975)	(18,478)	(21,878)
Adj. EBITDA	**86,960**	**114,353**	**136,644**	**146,768**	**162,387**
D&A	(22,908)	(24,835)	(30,510)	(35,232)	(38,494)
Adj. EBIT	**64,052**	**89,519**	**106,134**	**111,536**	**123,893**
Net Interest	5,624	7,861	2,655	1,581	1,038
Adj. PBT	**63,182**	**89,527**	**106,314**	**111,716**	**124,073**
Tax	(9,175)	(12,740)	(15,097)	(15,864)	(17,618)
Minority Interest	(3,262)	(4,585)	(6,385)	(6,710)	(7,452)
Adj. Net Income	**50,745**	**72,201**	**84,832**	**89,143**	**99,003**
Reported EPS	11.58	16.14	18.33	19.66	21.83
Adj. EPS	**11.58**	**16.14**	**18.33**	**19.66**	**21.83**
DPS	**5.78**	**7.96**	**9.17**	**9.83**	**10.92**
Payout ratio	49.9%	49.3%	50.0%	50.0%	50.0%
Shares outstanding	4,382	4,473	4,627	4,535	4,535

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	303,512	333,513	255,376	213,121	220,808
Accounts receivable	117,445	119,609	151,990	179,356	205,482
Inventories	59,836	94,526	142,069	140,234	174,929
Other current assets	29,349	90,834	90,834	90,834	90,834
Current assets	**510,142**	**638,482**	**640,268**	**623,545**	**692,053**
PP&E	142,344	176,134	201,732	225,421	235,499
LT investments	66,692	81,181	133,454	181,837	202,259
Other non current assets	67,480	79,031	82,158	85,192	88,135
Total assets	**786,658**	**974,828**	**1,057,612**	**1,115,994**	**1,217,946**
Short term borrowings	109,934	138,450	137,207	120,405	134,231
Payables	130,977	160,329	196,016	225,014	258,106
Other short term liabilities	76,260	100,847	100,847	100,847	100,847
Current liabilities	**317,172**	**399,626**	**434,070**	**446,266**	**493,184**
Long-term debt	93,161	81,678	71,428	61,178	51,328
Other long term liabilities	102,869	122,497	122,497	122,497	122,497
Total liabilities	**513,202**	**603,801**	**627,995**	**629,941**	**667,009**
Shareholders' equity	246,930	337,108	389,313	439,040	496,471
Minority interests	26,526	33,919	40,304	47,013	54,465
Total liabilities & equity	**786,658**	**974,828**	**1,057,612**	**1,115,994**	**1,217,946**
BVPS	**56.35**	**75.36**	**84.13**	**96.82**	**109.48**
y/y Growth	*23.4%*	*33.7%*	*11.6%*	*15.1%*	*13.1%*
Net debt/(cash)	(100,417)	(113,385)	(46,741)	(31,538)	(35,249)

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**96,990**	**133,220**	**70,048**	**110,249**	**123,545**
o/w Depreciation & amortization	22,908	24,835	30,510	35,232	38,494
o/w Changes in working capital	15,235	33,216	(45,480)	(13,336)	(13,903)
Cash flow from investing activities	**(48,875)**	**(94,476)**	**(105,308)**	**(102,838)**	**(64,436)**
o/w Capital expenditure	(31,180)	(42,345)	(59,235)	(61,955)	(51,515)
as % of sales	*8.6%*	*10.0%*	*9.6%*	*8.6%*	*6.3%*
Cash flow from financing activities	**(14,524)**	**(6,310)**	**(42,876)**	**(49,666)**	**(51,421)**
o/w Dividends paid	(25,807)	(34,923)	(35,626)	(42,416)	(44,571)
o/w Shares issued/(repurchased)	2,560	44,814	3,000	3,000	3,000
o/w Net debt issued/(repaid)	10,568	(11,912)	(10,250)	(10,250)	(9,850)
Net change in cash	**31,994**	**29,770**	**(78,137)**	**(42,255)**	**7,687**
Adj. Free cash flow to firm	**65,810**	**90,875**	**10,813**	**48,294**	**72,030**
y/y Growth	*11.2%*	*38.1%*	*(88.1%)*	*346.6%*	*49.1%*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	24.4%	26.3%	22.0%	21.8%	21.9%
EBITDA margin	24.0%	27.0%	22.1%	20.5%	19.8%
EBIT margin	17.7%	21.1%	17.2%	15.6%	15.1%
Net profit margin	14.0%	17.0%	13.7%	12.4%	12.1%
ROE	22.8%	24.7%	23.4%	21.5%	21.2%
ROA	6.7%	8.2%	8.3%	8.2%	8.5%
ROCE	12.9%	15.2%	15.8%	15.7%	16.3%
SG&A/Sales	2.5%	1.8%	2.4%	2.6%	2.7%
Net debt/Equity	NM	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM	NM
Sales/Assets (x)	0.5	0.5	0.6	0.7	0.7
Assets/Equity (x)	3.4	3.0	2.8	2.6	2.5
Interest cover (x)	NM	NM	NM	NM	NM
Operating leverage	(198.2%)	233.3%	40.3%	32.2%	77.8%
Tax rate	14.5%	14.2%	14.2%	14.2%	14.2%
Revenue y/y Growth	(9.7%)	17.0%	46.0%	15.8%	14.2%
EBITDA y/y Growth	15.7%	31.5%	19.5%	7.4%	10.6%
EPS y/y Growth	(1.7%)	39.4%	13.6%	7.2%	11.1%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	21.8	15.7	13.8	12.9	11.6
P/BV (x)	4.5	3.4	3.0	2.6	2.3
EV/EBITDA (x)	12.6	17.1	8.5	8.1	7.3
Dividend Yield	2.3%	3.1%	3.6%	3.9%	4.3%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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Neutral

3750.HK, 3750 HK
Price (04 Nov 26):HK$377.00

▼**Price Target (Jun-27):HK$420.00**
Prior (Jun-27):HK$440.00

CATL - H

Cut PT to HK$420

Earnings revisions: We trim CATL's net profit forecasts by 1%/4% in 2026E and 2027E, respectively, factoring in higher taxes and surcharges from the consumption tax's impact.

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 27E (Rmb)	20.70	19.66	-5.0%

Style Exposure

Quant	Current	Hist %Rank (1=Top)			
Factors	%Rank	6M	1Y	3Y	5Y
Value	35	46	68	22	
Growth	22	18	5	7	22
Momentum	82	32	24		
Quality	14	13	10		
Low Vol	60	55	59		

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

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Price Performance



	YTD	1m	3m	12m
Abs	-25.4%	-20.9%	-42.0%	-31.2%
Rel	-17.2%	-19.1%	-33.0%	-21.9%

Company Data

Shares O/S (mn)	218
52-week range (HK$)	794.50-326.00
Market cap ($ mn)	10,488
Exchange rate	7.85
Free float (%)	81.0%
3M ADV (mn)	3.24
3M ADV ($ mn)	197.4
Volatility (90 Day)	47
Index	HSI
BBG ANR (Buy | Hold | Sell)	21|4|1

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	423,702	618,623	716,370	818,443
Adj. EBITDA	114,353	136,644	146,768	162,387
Adj. EBIT	89,519	106,134	111,536	123,893
Adj. net income	72,201	84,832	89,143	99,003
Adj. EPS	16.14	18.33	19.66	21.83
BBG EPS	15.26	19.54	23.06	27.09
Cashflow from operations	133,220	70,048	110,249	123,545
FCFF	90,875	10,813	48,294	72,030
Margins and Growth				
Revenue Growth Y/Y (%)	17.0%	46.0%	15.8%	14.2%
EBITDA margin	27.0%	22.1%	20.5%	19.8%
EBITDA Growth Y/Y (%)	31.5%	19.5%	7.4%	10.6%
EBIT margin	21.1%	17.2%	15.6%	15.1%
Net margin	17.0%	13.7%	12.4%	12.1%
Adj. EPS growth	39.4%	13.6%	7.2%	11.1%
Ratios				
Adj. tax rate	14.2%	14.2%	14.2%	14.2%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	15.2%	15.8%	15.7%	16.3%
ROE	24.7%	23.4%	21.5%	21.2%
Valuation				
FCFF yield	6.3%	0.7%	3.3%	5.0%
Dividend yield	2.5%	2.9%	3.1%	3.4%
EV/Revenue	4.6	1.9	1.7	1.5
EV/EBITDA	17.1	8.5	8.1	7.3
Adj. P/E	19.9	17.5	16.3	14.7

Summary Investment Thesis and Valuation

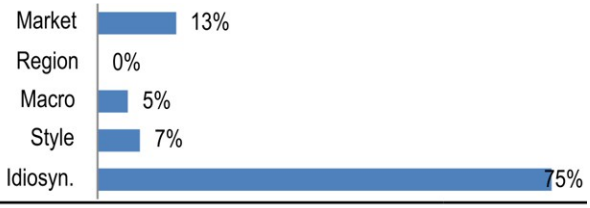
Investment Thesis

We like CATL's technology and leadership position in the global EV and ESS battery markets. Despite continued pricing pressure in the supply chain, CATL has demonstrated the ability to deliver resilient profits thanks to its technology leadership. We appreciate the scarcity value of CATL-H in the H-share market, as its limited share supply supports a valuation premium, in our view. We rate the stock Neutral because we view the current valuation as fair.

Valuation

Our Jun-27 PT is HK$420, based on 18x 2027E P/E (unchanged). We trim our PT slightly post the earnings trim. We apply the same target multiple as our previous PT. Our target multiple is below CATL-H's historical trading average, given the lower growth profile under tax headwinds.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.54	0.36
Region: Hong Kong	0.02	-0.01
Macro:		
US 10 Year Yield	-0.13	0.21
JPM Global Equity Sentiment	-0.14	-0.16
JP Morgan GBI-EM Global Div	0.11	-0.14
Quant Styles:		
Quality	0.32	0.27
Size	0.07	0.08
Growth	0.08	0.08

P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or

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Investment Thesis, Valuation and Risks

CATL - H *(Neutral; Price Target: HK$420.00)*

Investment Thesis
We like CATL's technology and leadership position in the global EV and ESS battery markets. Despite continued pricing pressure in the supply chain, CATL has demonstrated the ability to deliver resilient profits thanks to its technology leadership. We appreciate the scarcity value of CATL-H in the H-share market, as its limited share supply supports a valuation premium, in our view. We rate the stock Neutral because we view the current valuation as fair.

Valuation
Our Jun-27 PT is HK$420, based on 18x 2027E P/E (unchanged). We trim our PT slightly post the earnings trim. We apply the same target multiple as our previous PT. Our target multiple is below CATL-H's historical trading average, given the lower growth profile under tax headwinds.

Risks to Rating and Price Target
Upside/downside risks include better-/lower-than-expected sales volume or margins, and US-China geopolitical risks.

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CATL - H: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**362,013**	**423,702**	**618,623**	**716,370**	**818,443**
COGS	(273,519)	(312,383)	(482,442)	(560,003)	(639,082)
Gross profit	**88,494**	**111,319**	**136,181**	**156,367**	**179,361**
SG&A	(9,121)	(7,462)	(14,975)	(18,478)	(21,878)
Adj. EBITDA	**86,960**	**114,353**	**136,644**	**146,768**	**162,387**
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Net Interest	5,624	7,861	2,655	1,581	1,038
Adj. PBT	**63,182**	**89,527**	**106,314**	**111,716**	**124,073**
Tax	(9,175)	(12,740)	(15,097)	(15,864)	(17,618)
Minority Interest	(3,262)	(4,585)	(6,385)	(6,710)	(7,452)
Adj. Net Income	**50,745**	**72,201**	**84,832**	**89,143**	**99,003**
Reported EPS	11.58	16.14	18.33	19.66	21.83
Adj. EPS	**11.58**	**16.14**	**18.33**	**19.66**	**21.83**
DPS	**5.78**	**7.96**	**9.17**	**9.83**	**10.92**
Payout ratio	49.9%	49.3%	50.0%	50.0%	50.0%
Shares outstanding	4,382	4,473	4,627	4,535	4,535

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	303,512	333,513	255,376	213,121	220,808
Accounts receivable	117,445	119,609	151,990	179,356	205,482
Inventories	59,836	94,526	142,069	140,234	174,929
Other current assets	29,349	90,834	90,834	90,834	90,834
Current assets	**510,142**	**638,482**	**640,268**	**623,545**	**692,053**
PP&E	142,344	176,134	201,732	225,421	235,499
LT investments	66,692	81,181	133,454	181,837	202,259
Other non current assets	67,480	79,031	82,158	85,192	88,135
Total assets	**786,658**	**974,828**	**1,057,612**	**1,115,994**	**1,217,946**
Short term borrowings	109,934	138,450	137,207	120,405	134,231
Payables	130,977	160,329	196,016	225,014	258,106
Other short term liabilities	76,260	100,847	100,847	100,847	100,847
Current liabilities	**317,172**	**399,626**	**434,070**	**446,266**	**493,184**
Long-term debt	93,161	81,678	71,428	61,178	51,328
Other long term liabilities	102,869	122,497	122,497	122,497	122,497
Total liabilities	**513,202**	**603,801**	**627,995**	**629,941**	**667,009**
Shareholders' equity	246,930	337,108	389,313	439,040	496,471
Minority interests	26,526	33,919	40,304	47,013	54,465
Total liabilities & equity	**786,658**	**974,828**	**1,057,612**	**1,115,994**	**1,217,946**
BVPS	**56.35**	**75.36**	**84.13**	**96.82**	**109.48**
y/y Growth	*23.4%*	*33.7%*	*11.6%*	*15.1%*	*13.1%*
Net debt/(cash)	(100,417)	(113,385)	(46,741)	(31,538)	(35,249)

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**96,990**	**133,220**	**70,048**	**110,249**	**123,545**
o/w Depreciation & amortization	22,908	24,835	30,510	35,232	38,494
o/w Changes in working capital	15,235	33,216	(45,480)	(13,336)	(13,903)
Cash flow from investing activities	**(48,875)**	**(94,476)**	**(105,308)**	**(102,838)**	**(64,436)**
o/w Capital expenditure	(31,180)	(42,345)	(59,235)	(61,955)	(51,515)
as % of sales	*8.6%*	*10.0%*	*9.6%*	*8.6%*	*6.3%*
Cash flow from financing activities	**(14,524)**	**(6,310)**	**(42,876)**	**(49,666)**	**(51,421)**
o/w Dividends paid	(25,807)	(34,923)	(35,626)	(42,416)	(44,571)
o/w Shares issued/(repurchased)	2,560	44,814	3,000	3,000	3,000
o/w Net debt issued/(repaid)	10,568	(11,912)	(10,250)	(10,250)	(9,850)
Net change in cash	**31,994**	**29,770**	**(78,137)**	**(42,255)**	**7,687**
Adj. Free cash flow to firm	**65,810**	**90,875**	**10,813**	**48,294**	**72,030**
y/y Growth	*11.2%*	*38.1%*	*(88.1%)*	*346.6%*	*49.1%*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	24.4%	26.3%	22.0%	21.8%	21.9%
EBITDA margin	24.0%	27.0%	22.1%	20.5%	19.8%
EBIT margin	17.7%	21.1%	17.2%	15.6%	15.1%
Net profit margin	14.0%	17.0%	13.7%	12.4%	12.1%
ROE	22.8%	24.7%	23.4%	21.5%	21.2%
ROA	6.7%	8.2%	8.3%	8.2%	8.5%
ROCE	12.9%	15.2%	15.8%	15.7%	16.3%
SG&A/Sales	2.5%	1.8%	2.4%	2.6%	2.7%
Net debt/Equity	NM	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM	NM
Sales/Assets (x)	0.5	0.5	0.6	0.7	0.7
Assets/Equity (x)	3.4	3.0	2.8	2.6	2.5
Interest cover (x)	NM	NM	NM	NM	NM
Operating leverage	(198.2%)	233.3%	40.3%	32.2%	77.8%
Tax rate	14.5%	14.2%	14.2%	14.2%	14.2%
Revenue y/y Growth	(9.7%)	17.0%	46.0%	15.8%	14.2%
EBITDA y/y Growth	15.7%	31.5%	19.5%	7.4%	10.6%
EPS y/y Growth	(1.7%)	39.4%	13.6%	7.2%	11.1%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	27.7	19.9	17.5	16.3	14.7
P/BV (x)	5.7	4.3	3.8	3.3	2.9
EV/EBITDA (x)	12.6	17.1	8.5	8.1	7.3
Dividend Yield	1.8%	2.5%	2.9%	3.1%	3.4%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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J.P.Morgan

Neutral

3931.HK, 3931 HK
Price (04 Nov 26):HK$13.72

▼**Price Target (Jun-27):HK$15.00**
Prior (Jun-27):HK$17.00

CALB

Earnings cut

Earnings revisions: We trim CALB's net profit forecasts by 26%/55% in 2026E and 2027E, respectively, factoring in higher taxes and surcharges from the consumption tax's impact.

Asia Autos & EV Battery

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	1.34	0.99	-26.4%
Adj. EPS - 27E (Rmb)	1.45	0.66	-54.7%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	7	33	44	36	54
Growth	8	8	1	2	
Momentum	88	15	7	94	
Quality	80	68	80	91	89
Low Vol	90	93	86	98	

Table 27: Earnings revisions

	2026E			2027E		
RMB mn	Revised	Previous	% change	Revised	Previous	% change
Net Sales	61,266	75,097	-18%	109,598	115,149	-5%
Sales growth (yoy%)	38%	69%		79%	53%	
COGS	51,279	63,007	-19%	92,172	97,877	-6%
Gross profit	9,986	12,091	-17%	17,426	17,272	1%
Gross margin (%)	16.3%	16.1%		15.9%	15.0%	
Operating profit	4,032	4,717	-15%	4,198	6,234	-33%
Operating margin (%)	7%	6%		4%	5%	
Pre-tax profit	2,980	3,665	-19%	1,973	4,254	-54%
Tax rate	4%	8%		4%	10%	
Net profit	1,754	2,382	-26%	1,161	2,565	-55%
Net margin (%)	2.9%	3.2%		1.1%	2.2%	
Net profit growth (yoy%)	19%	61%		-34%	8%	
EPS (basic)	0.99	1.34	-26%	0.66	1.45	-55%

Source: J.P. Morgan estimates, Company data.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

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Price Performance



	YTD	1m	3m	12m
Abs	-45.4%	-14.8%	-24.0%	-55.4%
Rel	-34.5%	-13.7%	-16.7%	-42.0%

Company Data

Shares O/S (mn)	969
52-week range (HK$)	39.30-12.63
Market cap ($ mn)	1,694
Exchange rate	7.85
Free float (%)	63.1%
3M ADV (mn)	4.74
3M ADV ($ mn)	10.2
Volatility (90 Day)	56
Index	HSCEI
BBG ANR (Buy | Hold | Sell)	16|2|0

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	44,400	61,266	109,598	128,887
Adj. EBITDA	8,036	10,106	11,345	12,133
Adj. EBIT	3,126	4,032	4,198	4,508
Adj. net income	1,476	1,754	1,161	1,392
Net margin	3.3%	2.9%	1.1%	1.1%
Adj. EPS	0.83	0.99	0.66	0.79
BBG EPS	0.73	1.45	2.18	2.79
Cashflow from operations	10,160	7,307	7,287	7,506
FCFF	(5,314)	(22,817)	(12,795)	(2,593)
Margins and Growth				
Revenue Growth Y/Y (%)	60.0%	38.0%	78.9%	17.6%
EBITDA margin	18.1%	16.5%	10.4%	9.4%
EBITDA Growth Y/Y (%)	118.4%	25.8%	12.3%	6.9%
EBIT margin	7.0%	6.6%	3.8%	3.5%
Adj. EPS growth	149.6%	18.8%	(33.8%)	19.9%
Ratios				
Adj. tax rate	7.7%	4.2%	4.2%	4.2%
Interest cover	9.4	9.6	5.1	5.7
Net debt/Equity	0.9	1.3	1.5	1.5
Net debt/EBITDA	6.1	7.1	7.5	7.3
ROCE	3.3%	3.7%	3.4%	3.3%
ROE	4.1%	4.7%	3.0%	3.5%
Valuation				
FCFF yield	(25.7%)	(110.4%)	(61.9%)	(12.5%)
Dividend yield	0.0%	0.0%	0.0%	0.0%
EV/EBITDA	9.5	10.0	10.1	9.8
EV/Revenue	1.7	1.6	1.0	0.9
Adj. P/E	14.0	11.8	17.8	14.8

Summary Investment Thesis and Valuation

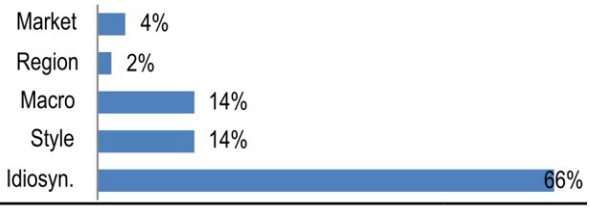
Investment Thesis

CALB is the third-largest battery maker in China based on battery installation, with domestic market share having increased from 1% in 2017-18 to 6% in 2020-22 and 7-8% in 2023-25. We like CALB's market share gain trend and believe CALB is the beneficiary of China EV premiumization, driven by its high exposure to B+ segment EV models. We rate the stock Neutral because we are concerned about potential margin pressure from export VAT rebate reductions and consumption tax headwinds.

Valuation

Our Jun-27 PT is HK$15, based on a 20x 2027E P/E (vs. our previous Jun-27 PT of HK$17, which was based on a 10x 2027E P/E). We lift our target multiple given the higher volume growth and the company is among the few battery makers allowed to continue expanding capacity in China. Our target multiple is lower than CALB's historical trading average, given the lower growth profile vs. the industry's early stage.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.32	0.30
Region: China	0.10	0.21
Macro:		
JP Morgan EMBI Global Spread	-0.24	-0.23
Emerging Economies CPI(YoY)	0.27	0.20
HSI Volatility Index	-0.29	-0.17
Quant Styles:		
Value	-0.34	-0.29
LowVol	-0.28	-0.28
Growth	0.27	0.28

P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or

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Investment Thesis, Valuation and Risks

CALB *(Neutral; Price Target: HK$15.00)*

Investment Thesis
CALB is the third-largest battery maker in China based on battery installation, with domestic market share having increased from 1% in 2017-18 to 6% in 2020-22 and 7-8% in 2023-25. We like CALB's market share gain trend and believe CALB is the beneficiary of China EV premiumization, driven by its high exposure to B+ segment EV models. We rate the stock Neutral because we are concerned about potential margin pressure from export VAT rebate reductions and consumption tax headwinds.

Valuation
Our Jun-27 PT is HK$15, based on a 20x 2027E P/E (vs. our previous Jun-27 PT of HK$17, which was based on a 10x 2027E P/E). We lift our target multiple given the higher volume growth and the company is among the few battery makers allowed to continue expanding capacity in China. Our target multiple is lower than CALB's historical trading average, given the lower growth profile vs. the industry's early stage.

Risks to Rating and Price Target
Upside/downside risks include: (1) better-/worse-than-expected EV/ESS demand; and (2) better-/worse-than-expected unit profit.

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CALB: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**27,752**	**44,400**	**61,266**	**109,598**	**128,887**
COGS	(23,342)	(36,988)	(51,279)	(92,172)	(108,394)
Gross profit	**4,410**	**7,412**	**9,986**	**17,426**	**20,493**
SG&A	(1,873)	(2,262)	(3,074)	(8,354)	(10,314)
Adj. EBITDA	**3,679**	**8,036**	**10,106**	**11,345**	**12,133**
D&A	(2,474)	(4,910)	(6,073)	(7,148)	(7,624)
Adj. EBIT	**1,205**	**3,126**	**4,032**	**4,198**	**4,508**
Net Interest	(415)	(855)	(1,052)	(2,224)	(2,142)
Adj. PBT	**790**	**2,270**	**2,980**	**1,973**	**2,366**
Tax	53	(175)	(125)	(83)	(99)
Minority Interest	(252)	(620)	(1,102)	(730)	(875)
Adj. Net Income	**591**	**1,476**	**1,754**	**1,161**	**1,392**
Reported EPS	0.33	0.83	0.99	0.66	0.79
Adj. EPS	**0.33**	**0.83**	**0.99**	**0.66**	**0.79**
DPS	**0.00**	**0.00**	**0.00**	**0.00**	**0.00**
Payout ratio	0.0%	0.0%	0.0%	0.0%	0.0%
Shares outstanding	1,772	1,772	1,772	1,772	1,772

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	9,059	9,638	729	1,799	2,088
Accounts receivable	8,414	14,965	19,505	28,821	36,246
Inventories	5,263	7,164	11,239	20,202	23,758
Other current assets	12,869	15,751	16,765	20,727	23,042
Current assets	**35,605**	**47,517**	**48,238**	**71,548**	**85,133**
PP&E	81,005	92	116,057	129,275	132,050
LT investments	994	1,143	1,143	1,143	1,143
Other non current assets	4,869	99,803	8,482	8,833	9,151
Total assets	**122,473**	**148,555**	**173,919**	**210,799**	**227,477**
Short term borrowings	18,960	25,108	35,108	45,108	48,108
Payables	19,487	27,037	31,016	43,444	50,952
Other short term liabilities	7,138	8,146	12,046	19,740	22,995
Current liabilities	**45,584**	**60,290**	**78,170**	**108,292**	**122,055**
Long-term debt	27,156	30,247	34,747	39,247	39,747
Other long term liabilities	1,679	4,561	4,690	5,058	5,205
Total liabilities	**74,419**	**95,099**	**117,607**	**152,596**	**167,007**
Shareholders' equity	35,184	36,739	38,492	39,653	41,046
Minority interests	12,870	16,718	17,820	18,549	19,424
Total liabilities & equity	**122,473**	**148,555**	**173,919**	**210,799**	**227,477**
BVPS	**19.86**	**20.73**	**21.72**	**22.38**	**23.16**
y/y Growth	*1.6%*	*4.4%*	*4.8%*	*3.0%*	*3.5%*
Net debt/(cash)	37,193	48,795	72,205	85,634	88,845

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**3,113**	**10,160**	**7,307**	**7,287**	**7,506**
o/w Depreciation & amortization	2,474	4,910	6,073	7,148	7,624
o/w Changes in working capital	1,818	1,231	(1,750)	(2,119)	(2,532)
Cash flow from investing activities	**(18,284)**	**(19,104)**	**(30,717)**	**(20,717)**	**(10,717)**
o/w Capital expenditure	(16,335)	(14,387)	(30,000)	(20,000)	(10,000)
as % of sales	*58.9%*	*32.4%*	*49.0%*	*18.2%*	*7.8%*
Cash flow from financing activities	**16,394**	**9,522**	**14,500**	**14,500**	**3,500**
o/w Dividends paid	-	-	-	-	-
o/w Shares issued/(repurchased)	0	0	0	0	0
o/w Net debt issued/(repaid)	16,613	10,599	14,500	14,500	3,500
Net change in cash	**1,225**	**579**	**(8,910)**	**1,070**	**289**
Adj. Free cash flow to firm	**(13,698)**	**(5,314)**	**(22,817)**	**(12,795)**	**(2,593)**
y/y Growth	*(14.4%)*	*(61.2%)*	*329.4%*	*(43.9%)*	*(79.7%)*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	15.9%	16.7%	16.3%	15.9%	15.9%
EBITDA margin	13.3%	18.1%	16.5%	10.4%	9.4%
EBIT margin	4.3%	7.0%	6.6%	3.8%	3.5%
Net profit margin	2.1%	3.3%	2.9%	1.1%	1.1%
ROE	1.7%	4.1%	4.7%	3.0%	3.5%
ROA	0.5%	1.1%	1.1%	0.6%	0.6%
ROCE	1.5%	3.3%	3.7%	3.4%	3.3%
SG&A/Sales	6.8%	5.1%	5.0%	7.6%	8.0%
Net debt/Equity	0.8	0.9	1.3	1.5	1.5
Net debt/EBITDA	10.1	6.1	7.1	7.5	7.3
Sales/Assets (x)	0.2	0.3	0.4	0.6	0.6
Assets/Equity (x)	3.3	3.8	4.3	4.9	5.4
Interest cover (x)	8.9	9.4	9.6	5.1	5.7
Operating leverage	2091.0%	265.6%	76.3%	5.2%	42.1%
Tax rate	6.8%	7.7%	4.2%	4.2%	4.2%
Revenue y/y Growth	2.8%	60.0%	38.0%	78.9%	17.6%
EBITDA y/y Growth	46.3%	118.4%	25.8%	12.3%	6.9%
EPS y/y Growth	100.8%	149.6%	18.8%	(33.8%)	19.9%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	35.0	14.0	11.8	17.8	14.8
P/BV (x)	0.6	0.6	0.5	0.5	0.5
EV/EBITDA (x)	16.6	9.5	10.0	10.1	9.8
Dividend Yield	0.0%	0.0%	0.0%	0.0%	0.0%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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Underweight

002074.SZ, 002074 CH
Price (04 Nov 26):Rmb24.15
Price Target (Jun-27):Rmb18.00

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	1.06	0.47	-55.7%
Adj. EPS - 27E (Rmb)	0.72	(0.35)	-148.4%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	65	61	72	69	87
Growth	44	3	18	3	27
Momentum	71	18	7	77	15
Quality	78	67	82	89	90
Low Vol	65	59	61	57	85
ESGQ	20	23	9	92	12

Gotion High-Tech

Earnings cut in 2026/27E

Earnings revisions: We cut Gotion's net profit forecasts by 56%/148% in 2026E and 2027E, respectively, factoring in higher taxes and surcharges from the consumption tax's impact.

Table 28: Earnings revision

	2026E			2027E		
RMB mn	Revised	Previous	% change	Revised	Previous	% change
Net Sales	62,497	60,372	4%	79,463	74,438	7%
Sales growth (yoy%)	39%	34%		27%	23%	
COGS	52,901	51,145	3%	67,592	63,433	7%
Gross profit	9,596	9,228	4%	11,871	11,005	8%
Gross margin (%)	15%	15%		15%	15%	
Operating profit	970	2,023	-52%	(463)	1,444	-132%
Operating margin (%)	2%	3.4%		-1%	1.9%	
Pre-tax profit	842	1,900	-56%	(625)	1,292	-148%
Tax rate	-3%	-3%		-3%	-3%	
Net profit	848	1,912	-56%	(629)	1,301	-148%
Net margin (%)	1%	3%		-1%	2%	
Net profit growth (yoy%)	-64%	-20%		-174%	-32%	
EPS (basic)	0.47	1.06		(0.35)	0.72	
EPS (fully diluted)	0.47	1.06	-56%	(0.35)	0.72	-148%

Source: J.P. Morgan estimates, Company data.

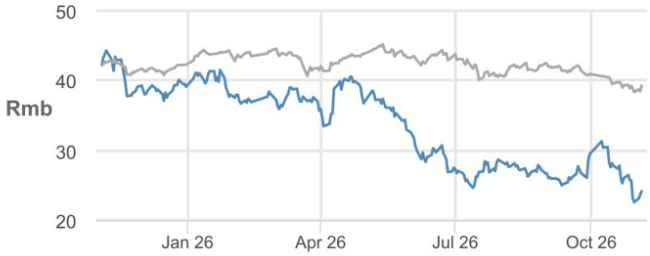
Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

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J.P.Morgan

Price Performance



	YTD	1m	3m	12m
Abs	-38.2%	-18.1%	-13.8%	-42.8%
Rel	-31.1%	-14.1%	-10.2%	-35.8%

Company Data

Shares O/S (mn)	1,815
52-week range (Rmb)	45.07-22.22
Market cap ($ mn)	6,570
Exchange rate	6.67
Free float (%)	56.9%
3M ADV (mn)	33.91
3M ADV ($ mn)	140.1
Volatility (90 Day)	46
Index	SSE
BBG ANR (Buy | Hold | Sell)	12|5|3

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	45,070	62,497	79,463	93,142
Adj. EBITDA	5,755	5,382	4,662	5,466
Adj. EBIT	2,345	970	(463)	(551)
Adj. net income	2,383	848	(629)	(746)
Adj. EPS	1.32	0.47	(0.35)	(0.41)
BBG EPS	1.74	0.97	1.33	1.67
Cashflow from operations	3,624	145	(299)	25
FCFF	(5,889)	(16,468)	(13,057)	(22,529)
Margins and Growth				
Revenue Growth Y/Y (%)	27.3%	38.7%	27.1%	17.2%
EBITDA margin	12.8%	8.6%	5.9%	5.9%
EBITDA Growth Y/Y (%)	57.5%	(6.5%)	(13.4%)	17.2%
EBIT margin	5.2%	1.6%	(0.6%)	(0.6%)
Net margin	5.3%	1.4%	(0.8%)	(0.8%)
Adj. EPS growth	94.1%	(64.4%)	(174.2%)	18.5%
Ratios				
Adj. tax rate	1.6%	3.1%	(3.1%)	(3.1%)
Interest cover	-	-	-	-
Net debt/Equity	1.2	1.7	2.1	2.8
Net debt/EBITDA	7.7	11.5	16.4	18.7
ROCE	2.7%	1.0%	(0.4%)	(0.4%)
ROE	8.7%	2.9%	(2.2%)	(2.6%)
Valuation				
FCFF yield	(13.5%)	(37.8%)	(29.9%)	(51.7%)
Dividend yield	0.4%	0.8%	0.3%	0.0%
EV/Revenue	2.1	1.8	1.6	1.6
EV/EBITDA	16.5	21.0	27.3	27.9
Adj. P/E	18.3	51.4	NM	NM

Summary Investment Thesis and Valuation

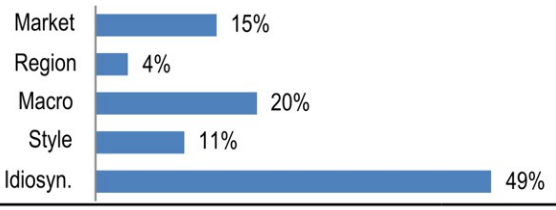
Investment Thesis

Gotion is a leading battery maker that could see meaningful volume growth along with increased volume supply to parent company VW. However, despite factoring in aggressive assumptions on volume growth and a unit profit recovery, we believe Gotion's valuation has traded far beyond the industry average. We remain UW on Gotion.

Valuation

Our Jun-27 PT is Rmb18, based on a 1.1x 2027 P/B (vs. our previous Jun-27 PT of Rmb18, based on a 21x 2026E-27E P/E) post the material earnings cut in 2026/27E. We change to a P/B valuation as we estimate the company will be loss-making in 2027E. Our target multiple is below the company's historical trading range, given the distressed core earnings.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.30	0.44
Region: China	0.28	0.27
Macro:		
JPM Global Equity Sentiment	0.23	0.29
HSI Volatility Index	-0.23	-0.29
JPM China A-shares Sentiment	0.10	0.22
Quant Styles:		
Size	-0.55	-0.45
Momentum	-0.45	-0.18
Quality	0.15	0.03

P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or

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Investment Thesis, Valuation and Risks

Gotion High-Tech *(Underweight; Price Target: Rmb18.00)*

Investment Thesis
Gotion is a leading battery maker that could see meaningful volume growth along with increased volume supply to parent company VW. However, despite factoring in aggressive assumptions on volume growth and a unit profit recovery, we believe Gotion's valuation has traded far beyond the industry average. We remain UW on Gotion.

Valuation
Our Jun-27 PT is Rmb18, based on a 1.1x 2027 P/B (vs. our previous Jun-27 PT of Rmb18, based on a 21x 2026E-27E P/E) post the material earnings cut in 2026/27E. We change to a P/B valuation as we estimate the company will be loss-making in 2027E. Our target multiple is below the company's historical trading range, given the distressed core earnings.

Risks to Rating and Price Target
Upside risks include: (1) better-than-expected NEV sales; (2) better-than-expected pricing and margins; and (3) better-than-expected cooperation with VW Group.

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Gotion High-Tech: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**35,392**	**45,070**	**62,497**	**79,463**	**93,142**
COGS	(29,020)	(37,780)	(52,901)	(67,592)	(79,332)
Gross profit	**6,372**	**7,290**	**9,596**	**11,871**	**13,810**
SG&A	(3,075)	(3,825)	(5,172)	(6,394)	(6,356)
Adj. EBITDA	**3,654**	**5,755**	**5,382**	**4,662**	**5,466**
D&A	(2,371)	(3,410)	(4,413)	(5,125)	(6,017)
Adj. EBIT	**1,283**	**2,345**	**970**	**(463)**	**(551)**
Net Interest	-	-	-	-	-
Adj. PBT	**1,263**	**2,253**	**842**	**(625)**	**(741)**
Tax	(109)	35	26	(19)	(23)
Minority Interest	53	95	(20)	15	18
Adj. Net Income	**1,207**	**2,383**	**848**	**(629)**	**(746)**
Reported EPS (Basic)	0.68	1.32	0.47	(0.35)	(0.41)
Adj. EPS	**0.68**	**1.32**	**0.47**	**(0.35)**	**(0.41)**
DPS	**0.10**	**0.10**	**0.19**	**0.07**	**0.00**
Payout ratio	14.7%	7.6%	41.3%	NM	0.0%
Shares outstanding	1,775	1,806	1,806	1,806	1,806

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	16,548	16,813	4,233	11,518	7,251
Accounts receivable	16,454	16,300	22,829	26,114	31,245
Inventories	7,121	9,690	15,073	21,296	26,516
Other current assets	8,639	11,127	8,115	7,358	7,239
Current assets	**48,763**	**53,931**	**50,250**	**66,286**	**72,251**
PP&E	44,817	55,183	65,814	71,809	86,985
LT investments	2,652	3,311	2,203	1,362	821
Other non current assets	11,608	14,789	15,862	16,857	17,781
Total assets	**107,840**	**127,215**	**134,128**	**156,314**	**177,838**
Short term borrowings	35,370	41,201	42,498	44,214	47,508
Payables	16,648	19,149	19,149	19,149	19,149
Other short term liabilities	3,553	5,984	7,083	8,322	9,315
Current liabilities	**55,572**	**66,334**	**68,730**	**71,685**	**75,972**
Long-term debt	18,510	19,852	23,852	43,852	61,852
Other long term liabilities	3,862	4,122	4,122	4,122	4,122
Total liabilities	**77,943**	**90,308**	**96,705**	**119,659**	**141,947**
Shareholders' equity	25,960	29,124	29,621	28,867	28,122
Minority interests	3,936	7,782	7,803	7,788	7,770
Total liabilities & equity	**107,840**	**127,215**	**134,129**	**156,314**	**177,838**
BVPS	**14.63**	**16.13**	**16.41**	**15.99**	**15.58**
y/y Growth	*3.4%*	*10.3%*	*1.7%*	*(2.5%)*	*(2.6%)*
Net debt/(cash)	37,332	44,240	62,117	76,548	102,109

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**2,706**	**3,624**	**145**	**(299)**	**25**
o/w Depreciation & amortization	2,371	3,410	4,413	5,125	6,017
o/w Changes in working capital	(2,639)	(2,792)	(6,883)	(6,322)	(6,266)
Cash flow from investing activities	**(7,107)**	**(10,296)**	**(15,874)**	**(11,792)**	**(21,792)**
o/w Capital expenditure	(9,068)	(10,171)	(16,116)	(12,116)	(22,116)
as % of sales	*25.6%*	*22.6%*	*25.8%*	*15.2%*	*23.7%*
Cash flow from financing activities	**5,480**	**7,240**	**3,150**	**19,375**	**17,500**
o/w Dividends paid	(1,542)	(1,698)	(350)	(125)	0
o/w Shares issued/(repurchased)	3,360	5,078	0	0	0
o/w Net debt issued/(repaid)	4,488	3,532	3,500	19,500	17,500
Net change in cash	**1,228**	**250**	**(12,580)**	**7,285**	**(4,266)**
Adj. Free cash flow to firm	**(6,972)**	**(5,889)**	**(16,468)**	**(13,057)**	**(22,529)**
y/y Growth	*(39.0%)*	*(15.5%)*	*179.6%*	*(20.7%)*	*72.5%*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	18.0%	16.2%	15.4%	14.9%	14.8%
EBITDA margin	10.3%	12.8%	8.6%	5.9%	5.9%
EBIT margin	3.6%	5.2%	1.6%	(0.6%)	(0.6%)
Net profit margin	3.4%	5.3%	1.4%	(0.8%)	(0.8%)
ROE	4.7%	8.7%	2.9%	(2.2%)	(2.6%)
ROA	1.2%	2.0%	0.6%	(0.4%)	(0.4%)
ROCE	1.6%	2.7%	1.0%	(0.4%)	(0.4%)
SG&A/Sales	8.7%	8.5%	8.3%	8.0%	6.8%
Net debt/Equity	1.2	1.2	1.7	2.1	2.8
Net debt/EBITDA	10.2	7.7	11.5	16.4	18.7
Sales/Assets (x)	0.4	0.4	0.5	0.5	0.6
Assets/Equity (x)	3.9	4.3	4.4	5.0	5.9
Interest cover (x)	-	-	-	-	-
Operating leverage	263.0%	302.7%	(151.7%)	(544.4%)	110.0%
Tax rate	8.6%	1.6%	3.1%	(3.1%)	(3.1%)
Revenue y/y Growth	12.0%	27.3%	38.7%	27.1%	17.2%
EBITDA y/y Growth	30.2%	57.5%	(6.5%)	(13.4%)	17.2%
EPS y/y Growth	28.3%	94.1%	(64.4%)	(174.2%)	18.5%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	35.5	18.3	51.4	NM	NM
P/BV (x)	1.7	1.5	1.5	1.5	1.6
EV/EBITDA (x)	23.0	16.5	21.0	27.3	27.9
Dividend Yield	0.4%	0.4%	0.8%	0.3%	0.0%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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Underweight

300014.SZ, 300014 CH
Price (04 Nov 26):Rmb49.91
Price Target (Jun-27):Rmb33.00

Asia Autos & EV Battery

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Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	41	53	63	53	84
Growth	15	17	27	13	5
Momentum	75	48	18	93	17
Quality	55	58	52	51	32
Low Vol	76	78	86	74	87
ESGQ	1	89	88	97	95

EVE Energy

Earnings cut

Earnings revisions: We cut EVE's net profit forecasts by 8%/11% in 2026E and 2027E, respectively, factoring in higher taxes and surcharges from the consumption tax's impact.

Table 29: Earnings revisions

	2026E			2027E		
RMB mn	Revised	Previous	% change	Revised	Previous	% change
Net Sales	105,300	104,259	1%	138,150	136,104	2%
Sales growth (yoy%)	71%	70%		31%	31%	
COGS	90,152	89,180	1%	118,871	116,942	2%
Gross profit	15,148	15,079	0%	19,279	19,162	1%
Gross margin (%)	14.4%	14.5%		14.0%	14.1%	
Operating profit	7,336	7,950	-8%	6,386	7,165	-11%
Operating margin (%)	7%	8%		5%	5%	
Pre-tax profit	7,247	7,861	-8%	6,283	7,064	-11%
Tax rate	10%	4%		4%	4%	
Net profit	6,742	7,311	-8%	5,856	6,580	-11%
Net margin (%)	6%	7%		4%	5%	
Net profit growth (yoy%)	63%	77%		-13%	-10%	
EPS (basic)	3.29	3.57		2.86	3.21	
EPS (fully diluted)	3.29	3.57	-8%	2.86	3.21	-11%

Source: J.P. Morgan estimates, Company data.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

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Price Performance



	YTD	1m	3m	12m
Abs	-24.1%	0.2%	-9.2%	-37.0%
Rel	-13.4%	3.0%	-5.9%	-23.4%

Company Data

Shares O/S (mn)	2,173
52-week range (Rmb)	89.90-41.21
Market cap ($ mn)	16,259
Exchange rate	6.67
Free float (%)	61.0%
3M ADV (mn)	35.25
3M ADV ($ mn)	269.4
Volatility (90 Day)	41
Index	SZBSHR
BBG ANR (Buy | Hold | Sell)	26|4|1

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	61,470	105,300	138,150	161,843
Adj. EBITDA	7,694	11,041	10,849	12,578
Adj. EBIT	4,488	7,336	6,386	7,495
Adj. net income	4,134	6,742	5,856	6,707
Adj. EPS	1.96	3.29	2.86	3.28
BBG EPS	2.20	3.31	4.42	5.36
Cashflow from operations	7,492	1,923	1,567	2,317
FCFF	(3,274)	(6,474)	(7,631)	(5,222)
Margins and Growth				
Revenue Growth Y/Y (%)	26.4%	71.3%	31.2%	17.2%
EBITDA margin	12.5%	10.5%	7.9%	7.8%
EBITDA Growth Y/Y (%)	6.2%	43.5%	(1.7%)	15.9%
EBIT margin	7.3%	7.0%	4.6%	4.6%
Net margin	6.7%	6.4%	4.2%	4.1%
Adj. EPS growth	0.0%	68.1%	(13.1%)	14.5%
Ratios				
Adj. tax rate	3.1%	3.2%	3.0%	5.4%
Interest cover	-	-	-	-
Net debt/Equity	0.4	0.5	0.7	0.8
Net debt/EBITDA	2.3	2.5	3.6	3.8
ROCE	6.9%	9.7%	7.3%	7.1%
ROE	10.3%	14.9%	11.7%	12.2%
Valuation				
FCFF yield	(3.1%)	(6.3%)	(7.5%)	(5.1%)
Dividend yield	1.0%	1.6%	1.4%	1.6%
EV/Revenue	2.1	1.3	1.1	1.0
EV/EBITDA	16.5	12.4	13.7	12.5
Adj. P/E	25.5	15.2	17.4	15.2

Summary Investment Thesis and Valuation

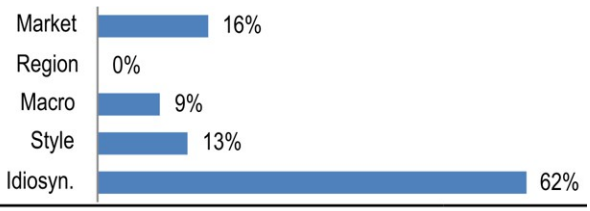
Investment Thesis

EVE is the market leader in several consumer battery applications and has expanded into EV battery and ESS (energy storage system) applications. EVE also holds a ~31% stake in Smoore (6969 HK) (plans to cut holding to 28%), an e-cigarette vaping device ODM that contributed ~8-10% of the company's net profit. We rate the stock UW because we are concerned about potential margin pressure from export VAT rebate reductions and consumption tax headwinds.

Valuation

Our Jun-27 PT is Rmb33, based on a 12x 2027E P/E (vs. 10x previously). We lift our target multiple given the higher volume growth and the company is among the few battery makers allowed to continue expanding capacity in China. Our target multiple is below EVE's historical trading average, given the lower growth profile vs. the industry's early stage.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.50	0.41
Region: China	-0.23	-0.04
Macro:		
Emerging Economies CPI(YoY)	-0.07	-0.30
Markit EM Composite PMI SA	-0.12	0.28
Emerging Central Bank Rate	-0.11	0.25
Quant Styles:		
Growth	0.41	0.32
Value	-0.42	-0.31
DivYld	-0.39	-0.30

P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or

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Investment Thesis, Valuation and Risks

EVE Energy *(Underweight; Price Target: Rmb33.00)*

Investment Thesis
EVE is the market leader in several consumer battery applications and has expanded into EV battery and ESS (energy storage system) applications. EVE also holds a ~31% stake in Smoore (6969 HK) (plans to cut holding to 28%), an e-cigarette vaping device ODM that contributed ~8-10% of the company's net profit. We rate the stock UW because we are concerned about potential margin pressure from export VAT rebate reductions and consumption tax headwinds.

Valuation
Our Jun-27 PT is Rmb33, based on a 12x 2027E P/E (vs. 10x previously). We lift our target multiple given the higher volume growth and the company is among the few battery makers allowed to continue expanding capacity in China. Our target multiple is below EVE's historical trading average, given the lower growth profile vs. the industry's early stage.

Risks to Rating and Price Target
Upside risks include: (1) better-than-expected battery shipments; (2) less pricing and margin pressure; and (3) better-than-expected regulatory policies related to the e-cigarette industry.

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EVE Energy: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**48,615**	**61,470**	**105,300**	**138,150**	**161,843**
COGS	(40,149)	(51,528)	(90,152)	(118,871)	(139,248)
Gross profit	**8,465**	**9,941**	**15,148**	**19,279**	**22,595**
SG&A	(2,281)	(3,954)	(5,057)	(6,514)	(7,183)
Adj. EBITDA	**7,243**	**7,694**	**11,041**	**10,849**	**12,578**
D&A	(2,547)	(3,206)	(3,704)	(4,464)	(5,083)
Adj. EBIT	**4,696**	**4,488**	**7,336**	**6,386**	**7,495**
Net Interest	-	-	-	-	-
Adj. PBT	**4,638**	**4,440**	**7,247**	**6,283**	**7,375**
Tax	(417)	(138)	(231)	(189)	(395)
Minority Interest	(146)	(168)	(274)	(238)	(272)
Adj. Net Income	**4,076**	**4,134**	**6,742**	**5,856**	**6,707**
Reported EPS	1.96	1.96	3.29	2.86	3.28
Adj. EPS	**1.96**	**1.96**	**3.29**	**2.86**	**3.28**
DPS	**0.50**	**0.49**	**0.80**	**0.69**	**0.79**
Payout ratio	25.5%	25.0%	24.3%	24.3%	24.3%
Shares outstanding	2,079	2,109	2,047	2,047	2,047

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	9,065	8,502	1,464	961	1,922
Accounts receivable	13,099	14,860	23,493	32,593	43,753
Inventories	5,251	8,240	14,573	22,146	30,139
Other current assets	10,570	22,071	23,317	24,251	24,925
Current assets	**37,985**	**53,673**	**62,847**	**79,951**	**100,739**
PP&E	39,626	49,675	56,690	62,941	67,090
LT investments	15,165	12,521	14,526	17,006	19,490
Other non current assets	8,115	9,673	9,091	8,632	8,235
Total assets	**100,891**	**125,542**	**143,154**	**168,529**	**195,554**
Short term borrowings	10,783	12,437	12,437	12,437	12,437
Payables	25,512	33,010	40,939	49,658	60,362
Other short term liabilities	3,543	6,804	7,473	9,170	10,433
Current liabilities	**39,838**	**52,251**	**60,849**	**71,266**	**83,232**
Long-term debt	18,068	25,725	28,725	39,225	48,725
Other long term liabilities	1,985	2,595	2,595	2,595	2,595
Total liabilities	**59,891**	**80,571**	**92,169**	**113,086**	**134,552**
Shareholders' equity	37,581	42,320	48,059	52,280	57,566
Minority interests	3,418	2,652	2,925	3,163	3,435
Total liabilities & equity	**100,891**	**125,542**	**143,154**	**168,529**	**195,554**
BVPS	**18.07**	**20.06**	**23.48**	**25.54**	**28.13**
y/y Growth	*7.0%*	*11.0%*	*17.0%*	*8.8%*	*10.1%*
Net debt/(cash)	10,240	17,929	27,967	38,971	47,509

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**4,434**	**7,492**	**1,923**	**1,567**	**2,317**
o/w Depreciation & amortization	2,547	3,206	3,704	4,464	5,083
o/w Changes in working capital	(2,833)	(792)	(7,036)	(7,954)	(8,449)
Cash flow from investing activities	**(7,310)**	**(12,616)**	**(10,958)**	**(10,935)**	**(9,435)**
o/w Capital expenditure	(5,545)	(10,446)	(10,958)	(10,935)	(9,435)
as % of sales	*11.4%*	*17.0%*	*10.4%*	*7.9%*	*5.8%*
Cash flow from financing activities	**1,400**	**4,383**	**1,997**	**8,864**	**8,079**
o/w Dividends paid	(1,753)	(3,029)	(1,003)	(1,636)	(1,421)
o/w Shares issued/(repurchased)	28	816	0	0	0
o/w Net debt issued/(repaid)	3,768	7,522	3,000	10,500	9,500
Net change in cash	**(1,476)**	**(741)**	**(7,038)**	**(503)**	**962**
Adj. Free cash flow to firm	**(1,128)**	**(3,274)**	**(6,474)**	**(7,631)**	**(5,222)**
y/y Growth	*(130.8%)*	*190.2%*	*97.8%*	*17.9%*	*(31.6%)*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	17.4%	16.2%	14.4%	14.0%	14.0%
EBITDA margin	14.9%	12.5%	10.5%	7.9%	7.8%
EBIT margin	9.7%	7.3%	7.0%	4.6%	4.6%
Net profit margin	8.4%	6.7%	6.4%	4.2%	4.1%
ROE	11.3%	10.3%	14.9%	11.7%	12.2%
ROA	4.2%	3.7%	5.0%	3.8%	3.7%
ROCE	7.8%	6.9%	9.7%	7.3%	7.1%
SG&A/Sales	4.7%	6.4%	4.8%	4.7%	4.4%
Net debt/Equity	0.2	0.4	0.5	0.7	0.8
Net debt/EBITDA	1.4	2.3	2.5	3.6	3.8
Sales/Assets (x)	0.5	0.5	0.8	0.9	0.9
Assets/Equity (x)	2.7	2.8	3.0	3.1	3.3
Interest cover (x)	-	-	-	-	-
Operating leverage	890.1%	(16.8%)	89.0%	(41.5%)	101.3%
Tax rate	9.0%	3.1%	3.2%	3.0%	5.4%
Revenue y/y Growth	(0.3%)	26.4%	71.3%	31.2%	17.2%
EBITDA y/y Growth	15.5%	6.2%	43.5%	(1.7%)	15.9%
EPS y/y Growth	(0.5%)	0.0%	68.1%	(13.1%)	14.5%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	25.5	25.5	15.2	17.4	15.2
P/BV (x)	2.8	2.5	2.1	2.0	1.8
EV/EBITDA (x)	16.6	16.5	12.4	13.7	12.5
Dividend Yield	1.0%	1.0%	1.6%	1.4%	1.6%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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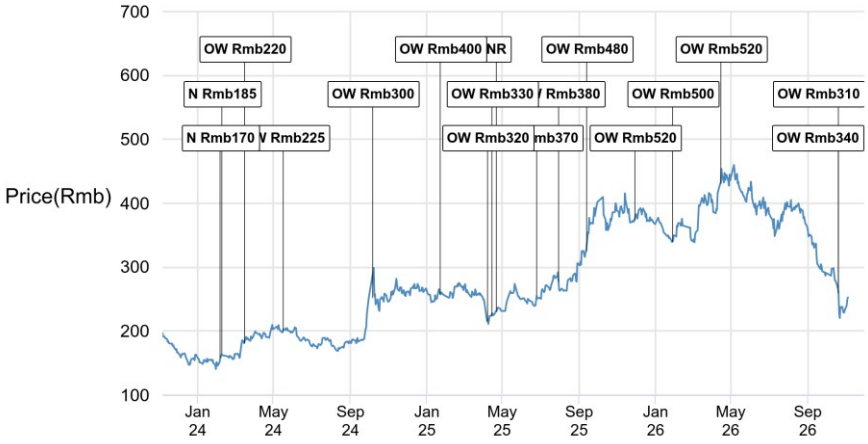
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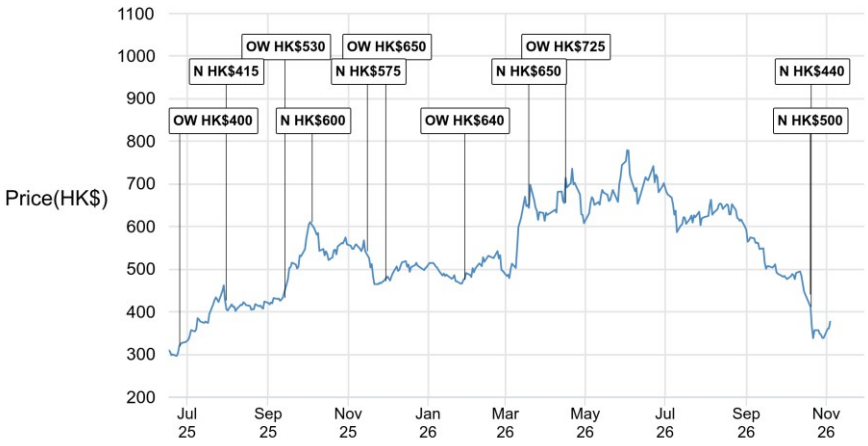
CATL - A (300750.SZ, 300750 CH) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 27, 2018. All share prices are as of market close on the previous business day.

Date	Rating	Price (Rmb)	Price Target (Rmb)
07-Feb-24	N	158.33	170
09-Feb-24	N	162.84	185
17-Mar-24	OW	181.00	220
17-May-24	OW	199.67	225
07-Oct-24	OW	251.89	300
23-Jan-25	OW	258.00	400
08-Apr-25	OW	215.22	320
15-Apr-25	OW	224.00	330
22-Apr-25	NR	231.36	--
26-Jun-25	OW	254.90	370
31-Jul-25	OW	277.09	380
14-Sep-25	OW	325.00	480
30-Nov-25	OW	373.20	520
29-Jan-26	OW	339.99	500
16-Apr-26	OW	431.00	520
20-Oct-26	OW	267.02	340
21-Oct-26	OW	259.08	310

CATL - H (3750.HK, 3750 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jun 25, 2025. All share prices are as of market close on the previous business day.

Date	Rating	Price (HK$)	Price Target (HK$)
26-Jun-25	OW	319.00	400
31-Jul-25	N	426.60	415
14-Sep-25	OW	432.80	530
05-Oct-25	N	610.50	600
16-Nov-25	N	542.00	575
30-Nov-25	OW	472.00	650
29-Jan-26	OW	475.40	640
19-Mar-26	N	650.50	650
16-Apr-26	OW	655.50	725
20-Oct-26	N	440.80	500
21-Oct-26	N	411.80	440

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CALB (3931.HK, 3931 HK) Price Chart



Date	Rating	Price (HK$)	Price Target (HK$)
09-May-24	UW	13.88	6
26-Jun-25	N	17.68	15.5
14-Sep-25	N	26.76	30
07-Apr-26	N	33.00	36
30-May-26	OW	29.22	40
20-Oct-26	N	15.42	17

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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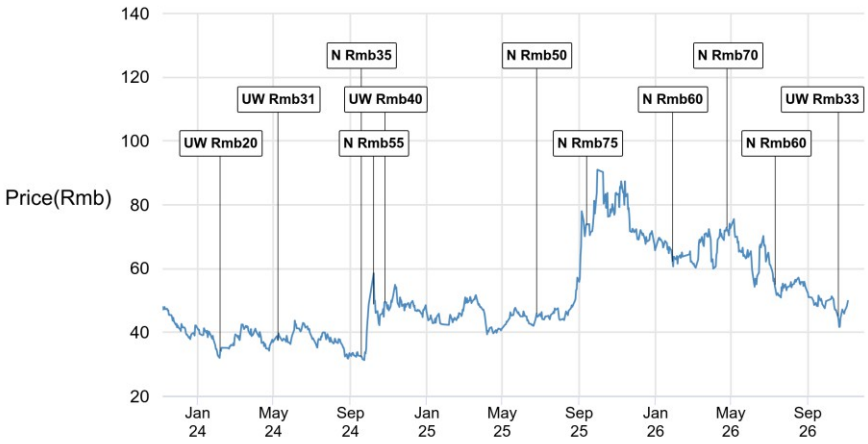
Gotion High-Tech (002074.SZ, 002074 CH) Price Chart



Date	Rating	Price (Rmb)	Price Target (Rmb)
07-Feb-24	UW	18.00	10
26-Jun-25	UW	33.02	20
14-Sep-25	UW	47.22	30
30-May-26	UW	32.95	28
12-Jul-26	UW	25.36	20
20-Oct-26	UW	27.37	18

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage May 31, 2018. All share prices are as of market close on the previous business day.

EVE Energy (300014.SZ, 300014 CH) Price Chart



Date	Rating	Price (Rmb)	Price Target (Rmb)
07-Feb-24	UW	34.21	20
09-May-24	UW	37.61	31
19-Sep-24	N	32.48	35
08-Oct-24	N	48.78	55
27-Oct-24	UW	49.44	40
26-Jun-25	N	45.91	50
14-Sep-25	N	73.81	75
29-Jan-26	N	62.24	60
26-Apr-26	N	72.81	70
12-Jul-26	N	54.94	60
20-Oct-26	UW	45.04	33

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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